

ANNUAL REPORT 2015-16



mfin powering
responsible
finance
MICROFINANCE INSTITUTIONS NETWORK

MICROFINANCE INSTITUTIONS NETWORK



annual report 2015-16





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President's Message

Greetings,

I am delighted to be able to communicate to all of you through this message in the MFIN Annual report 2015-16.

As on 31st March'16, MFIN members reported a portfolio in excess of INR 53,000 crores covering around 3.25 crores end clients across 26 states serviced through more than 9500 branches manned by over 85,000 employees.

When I look back at the last year, I cannot but feel what an amazing year it has been! I do not remember any year in the recent past where so much has happened to further the cause of financial inclusion – a key national priority. Our biggest NBFC MFI transforming into a Universal Bank, eight of our members being selected for an in principle Small Finance Bank (SFB) license, opening up of Universal Bank licenses on tap, progressive changes in the Priority Sector Lending (PSL) norms, strengthening of the credit culture with enhanced and universal reporting requirements to the credit bureaus, Aadhaar being legally recognized as a national identity document, the significant MUDRA initiative from the government, the focus on JAM trinity post the success of the Jan Dhan Yojana, the pensions and insurance initiatives like Atal Pension Yojana (APY) from the government amongst many others. I truly feel that with this excellent foundation which has been laid our own Mission at MFIN of

providing financial inclusion to 100 million households by 2020 will indeed be overachieved.

MFIN being India's first licensed Self Regulatory Organization (SRO) in the financial services sector is a matter of great pride for all of us in the sector. With a background of the 6 years plus work in the sector, we at MFIN have further strengthened the institution by strengthening the board with independent directors and committee members, empowered our Enforcement and SRO Committees to be truly independent in their actions, strengthened the secretariat with new units and employees, set up the MFIN Toll Free Helpline for clients, conducted industry surveys and studies to help members take corrective actions, initiated a process of "advisories and directives" to further self-regulation amongst primary members and the prestigious amongst many others.

The key priorities for the immediate future as I see it continues to be strengthening the credit culture, a Common Code of Conduct for all lenders to clients in the sector, further developing our HR processes/risk management/ financial controls/IT infrastructure in the sector through continuous member engagement, enhanced ground level support and also surveillance, topical research and analysis of the data that we collect,

dissemination of best practices in the sector and better grievance redressal mechanisms amongst many others.

I wish to sincerely thank the government for its forward looking stance, the RBI for its supporting policies and continuous engagement, the state governments for the local understanding and ground support, our primary members for their commitment to being self-regulated, our associate members for their interest and involvement, the members of the various committees, my colleagues in the governing board, all the agencies that we deal with and last but certainly not the least the CEO and the MFIN secretariat for their dedicated and untiring work towards the vision and mission of the organization.

The ET Best BFSI Association Award bestowed on MFIN last week is needless to add an objective and external recognition of the work and credibility that MFIN has been able to achieve in the last few years.

I feel honored to have served on the MFIN board for the last three years plus with the last year as the President of the governing board.

My best wishes and thanks to all of you.

Manoj Kumar Nambiar
President MFIN



CEO's Message

Greetings,

The year gone by has been a year of change, evolution and transformation for the Microfinance Industry, but more particularly so for MFIN. From an overtly policy advocacy engagement, today, the network has built up a formidable framework that demonstrates the new role it has taken on for itself as the key representative of the NBFC MFI universe. While the financial services architecture has become more representative of the needs of a country moving from largely being unbanked to one where banks touch many more lives, thanks to the progressive inclusion policy of the government of the day, the challenge of access to funding continues to be a major factor for the population at the bottom of the pyramid. Today, the issue is one of more rather than less. The number of players in the segment providing credit are multiplying. Where once only NBFC MFIs predominantly served the needs of this segment, the way in which the sector has come back into it's own over the last five years has made this space an attractive space for other formal credit institutions to diversify their portfolios. The availability of more credit is beneficial to the vulnerable households that microfinance caters to but also, conversely puts upon us the need to ensure that the NBFC MFI universe steps up it's commitment to responsible lending.

It is to the credit of the NBFC MFIs industry that despite MFIN

being almost entirely funded by subscription from the industry, we have been able to build and translate into reality a robust Self Regulating Organization (SRO) which has gained credence with the regulator and other external stakeholders. The translation of the SRO from the drawing board to an entity that is rolling out successfully, functionally is a matter of pride as we had no comparator against which to bench mark this framework. It was envisaged and set up from scratch, drawing from past regulatory experience of a very different kind. Despite the number of voices that kept questioning the conflicting nature of an entity taking forward

both advocacy and self regulation, it has gone on to demonstrate that good governance further strengthens the advocacy dialogue.

The South Asian Microfinance Network Conference (SAMNC) was the first of it's kind to be put together by MFIN and was received very well. The quality of debate and speakers was commended and we aim to bring together every year microfinance practitioners on a common platform from across the world to share global governance and cross sectoral learning. The visibility of MFIN as an organization enabling a knowledge connect has grown post this event and today



Mr. Nambiar and Ms. Vishwanathan present the 2014-15 Annual Report to the RBI Governor Raghuram Rajan

there is a robust communication strategy that works effectively both at the national and regional level. Engagement at the ground level is fostered by a dedicated team. The convergence of all of this and the resultant synergy has contributed to an organization that is ideally

poised to take forward inclusion at a level where it really matters. The Economic Times Financial Inclusion Certificate earlier and the more recent ET BFSI Award recognizes MFIN as Best in Brand for it's contribution to the microfinance sector. One hopes this is one of

many more to come as we go ahead together and endeavor to build a robust and sustainable sector.

Ratna Vishwanathan
CEO MFIN





ABOUT MFIN

Microfinance Institutions Network (MFIN) is the industry, Association for RBI regulated NBFC-MFIs and has positioned itself as an engine of inclusive growth in India. MFIN through its members, helps provide financial services to low income households in a responsible and transparent manner, thereby helping them build sustainable livelihoods.



The Microfinance Industry in India

Microfinance in India started in the late 1980s in response to the gap in availability of formal sources of credit and lending to the underserved and low income population. The majority of the institutions that forayed into the sector were from the social sector and hence the legal entities comprised of Trusts, Societies or Section 25 Companies. As the industry continued to grow, the non-profit form became a limiting factor in making these institutions sustainable and scalable. Based on the recommendations of the Malegam Committee, RBI created a new subset under Non-Banking Finance Companies (NBFCs) for institutions specializing in microfinance called NBFC-MFIs. In the decade leading up to 2009, the NBFC-MFI model proved itself to be a viable and sustainable means of providing access to finance to meet the requirements of low income households.

NBFC-MFIs have been playing a significant role in taking forward the financial inclusion agenda of the Government of India. What sets NBFC-MFIs apart is the fact that they do not depend on grants or subsidies to provide unsecured loans to people with low incomes and no access to the banking system. The industry has used market oriented solutions that encourage self-reliance and entrepreneurship amongst its clients. As on 31st March 2016, NBFC-MFIs provided credit to over 3.25 clients pan India, with a total lending in excess of 53,000 crores.

Microfinance Industry: Core Strengths

1. Regulated by the Reserve Bank of India with MFIN as the SRO for the industry.
2. Stringent Industry Code of Conduct in place which is executable.
3. Feet on street delivery model which ensures doorstep delivery to clients.
4. Bouquet of products such as microcredit, microinsurance, micropension.
5. Presence in underbanked and underserved places.
6. Financial literacy and awareness integrated to product delivery.
7. Conducive environment for clients with local culture, local employees and high customer connectedness.

Genesis

MFIN was established in October 2009 under the Andhra Pradesh Societies Registration Act 2001. As per its bye-laws all financial institutions that are “substantially engaged in the business of microfinance” and are registered as NBFC-MFIs with the Reserve Bank of India, are eligible for membership to MFIN. Structured as a Self-Regulatory Organization (SRO) of the RBI regulated NBFC-MFIs, MFIN has been supporting an effective framework for responsible lending and client protection for the industry. MFIN works closely with regulators and other key stakeholders and plays an active part in the larger financial inclusion dialogue through the medium of microfinance.



Vision

To be an engine of inclusive growth for India and help provide financial services to 100 million low income households by the year 2020, in a responsible and transparent manner, thereby helping them build sustainable livelihoods.



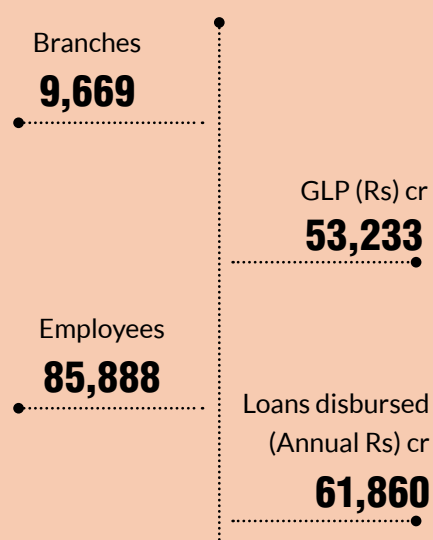
Objectives

MFIN's primary objective is to work towards the robust development of the microfinance sector by promoting: responsible lending, client protection, good governance and a supportive regulatory environment.

Membership

The membership of MFIN is open to RBI regulated, NBFC-MFIs. All applications for the new membership go through a well laid out process including an on-site due diligence and Board review. As members, NBFC-MFIs become part of the peer community that shapes the strategic directions of MFIN and the industry. Currently MFIN has 53 members, diverse in size and geographic spread.

MFIN Members'- Consolidated Operations Overview (31st March 2016)



NBFC-MFIs primarily serve low income households, both rural & urban

99% Women clients



Services offered:



Primarily
microcredit



Micro-insurance,
pension



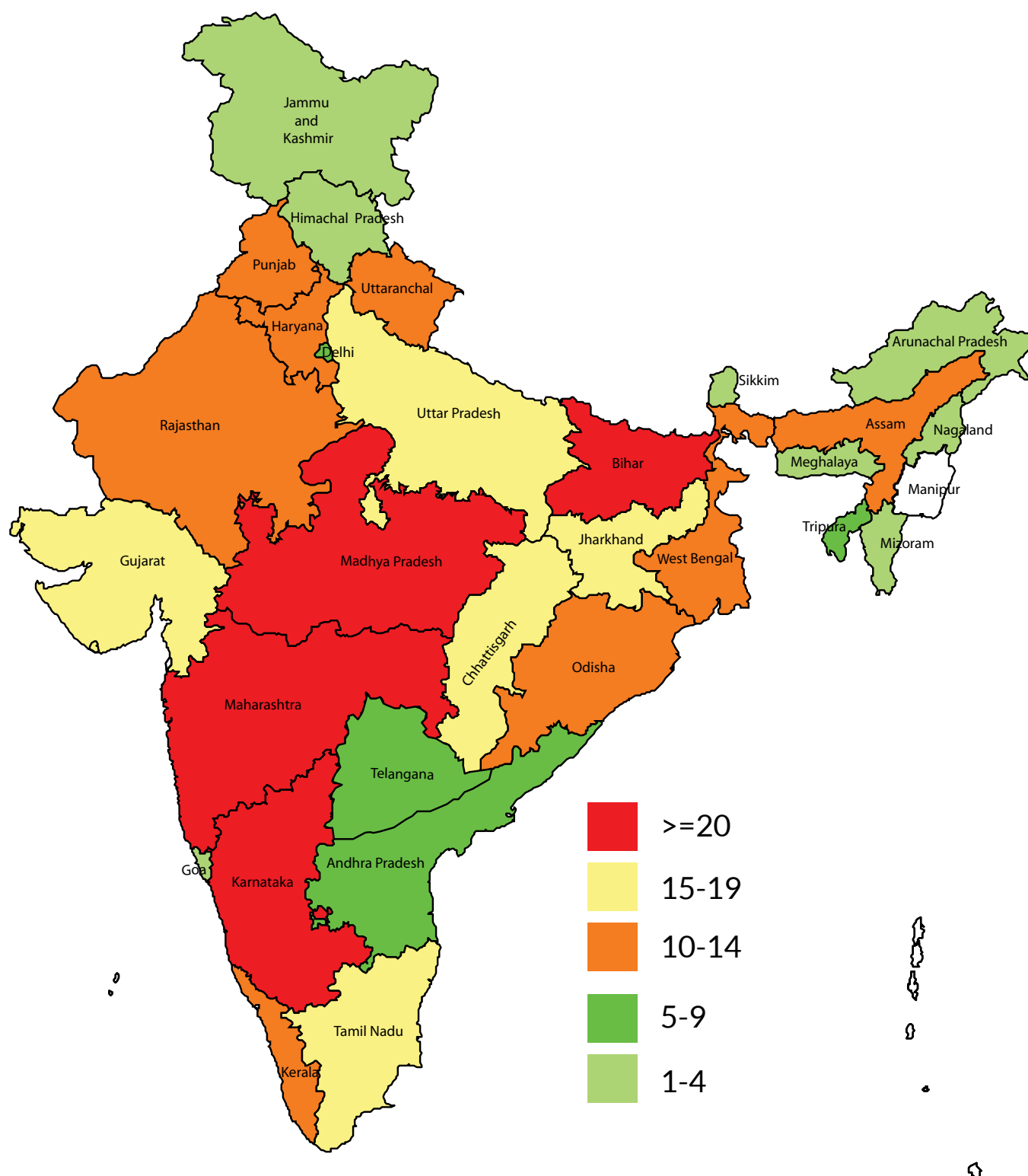
Financial
education



Livelihood
service

Pan –India Presence of NBFC-MFIS

States / UTs - 32, Districts - 48



New Members

Nightingale Finvest Pvt. Ltd.

Nightingale Charitable Society was founded on 2nd October, 1997. Nightingale Charitable Society started its micro credit activities in Assam within the North-Eastern Region from the year 2004 mainly in unserved and areas not covered by other MFIs and Banks. Due to changing scenario of MFIs in the recent past in the country and in also keeping in view the expansion of activities of micro credit, it was felt necessary to change the legal entity of the society and accordingly the micro finance activities are being carried out now in the name of Nightingale Finvest Private Ltd., an NBFC MFI. <http://www.nightingalefinvest.in/index.html>

Vedika Credit Capital Ltd.

Vedika Credit Capital Limited was originally registered as a Private Limited Company but was later converted into a Public Limited Company in November 1995. It was recognized and re-registered to carry out the business of Non-Banking Finance Company with approval from Reserve Bank of India in March 1998.

Light Microfinance Pvt. Ltd.

Light Microfinance is a young, professionally run, innovative and rapidly growing technology driven microfinance company based in Ahmedabad, Gujarat that empowers low-income women by providing loans for livelihood and income-generation activities. The Company currently operates in the states of Gujarat and Rajasthan and has over 40,000 customers. Light Microfinance grew to Rs. 75 cr in Assets Under Management in July 2015.

Intrepid Finance & Leasing Pvt. Ltd.

The organisation assists low income households for investment in productive purposes through easily accessible and affordable micro credit. The objective is to raise funds for debt as well as capital markets for on-lending to these low income groups in rural and semi-urban areas. Intrepid's geographical spread covers states of Maharashtra, Madhya Pradesh, Uttar Pradesh and Bihar.

Hindusthan Microfinance Pvt. Ltd.

Hindusthan Microfinance Pvt. Ltd. (HMPL), based in Mumbai (Maharashtra), is a NBFC- MFI which aims at offering credit and other financial products to the urban poor with its presence in Mumbai, Thane, Palghar, Pune and Nagpur etc. While the NBFC is relatively new, the microfinance work in Mumbai is not new for the promoters, who have a good understanding of the needs of the poor and have been reaching out to them, albeit on a smaller scale.

Midland Microfin Ltd.

Midland Microfin Ltd. is a Jalandhar (Punjab) based NBFC-MFI with gross loan portfolio of about Rs. 133 cr. The organization's operation spreads over three states with 35 branches reaching around a little over a crore clients.

Uttrayan Financial Services Pvt. Ltd.

Uttrayan Financial Services Pvt. Ltd. (UFSPL) was incorporated in April 1995 as Chotanagpur Trade and Investments Private Limited (CTIPL) and is registered as an NBFC to carry out financing business. In October 2008, the company was taken over by its current promoters with the objective of carrying out micro-finance activities. The organization has a gross loan portfolio of Rs. 51.6 cr. The organization's operation is mainly in West Bengal with 19 branches reaching 40,000 clients.

Unnati Microfin Pvt. Ltd.

Unnati Microfin Private Limited is a Mumbai based NBFC-MFI. Unnati started its operation from 1st April, 2012 with a vision to cater to the economically backward and financially stressed women entrepreneurs, by providing loans for their livelihood and income generation activities. Currently the Company operates in the Mumbai and Thane regions of Maharashtra state with four branches and gross portfolio of Rs. 10 crores as on 31.03.2016 and reaching more than 6,000 clients.



NBFC-MFI: As defined by the RBI

RBI in December 2011 created a new category of NBFCs titled NBFC-MFI. NBFC-MFIs are required to have not less than 85 percent of the net assets in the nature of 'qualifying assets', satisfying the following criterion:

- Minimum NOF (Net Owned Fund) of Rs. 5 cr. (North-East Region- Rs. 2 cr.).
- 85 percent of total assets of MFI are in nature of 'Qualifying Assets'.
- 'Qualifying Asset' means a loan which satisfies the following criteria:
 - The loan extended to a borrower whose household annual income in rural areas does not exceed Rs. 100,000 while for non-rural areas it does not exceed Rs. 160,000. Loan does not exceed Rs. 60,000 in the first cycle and Rs. 100,000 in the subsequent cycles. Total indebtedness of the borrower does not exceed Rs. 100,000. Education and medical expenses are excluded while arriving at the total indebtedness.
 - Tenure of the loan is not less than 24 months when loan amount exceeds Rs. 15,000 with the right of the borrower prepay without penalty.
 - Loan to be extended without collateral.
 - Aggregate amount of loans given for income generation should constitute at least 50 percent of the total loans of MFIs so that the remaining 50 percent can be for other purposes such as housing repairs, education, medical and other emergencies.
 - Loan is repayable by weekly, fortnightly or monthly installments at the choice of the borrower.
- The average interest rate on loans during a financial year does not exceed the average borrowing cost during that financial year plus the margin, within the prescribed cap. The rate of interest on individual loans may exceed 26 percent, the maximum variance permitted for individual loans between the minimum and maximum interest cannot exceed four percent.
- Margin cap at 12 percent for small MFIs and 10 percent for large MFIs (whose loan portfolios exceed Rs. 100 crore).
- Only three components are to be included in pricing of loans viz. a) Processing fees not exceeding one percent of the gross loan amount, b) the interest charged and c) the insurance premium.
- There should not be any penalty for delayed payment.
- No security deposit/margin is to be taken.
- Capital requirement (CRAR): 15 percent of its aggregate risk weighted assets.
- Provisioning: 50 percent of the aggregate loan installments which are overdue for more than 90 days and less than 180 days and 100 percent of the aggregate loan instalments which are overdue for 180 days or more.
- Follow RBI's Fair Practices Code.
- Must be members of all Credit Information Bureau (CIBs) and onboard data to all Credit Bureaus as mandated by the RBI.

mfin Associates

MFIN rolled out its Associateship programme in January 2014. This was done with the understanding that stakeholders other than NBFC-MFIs who have a lasting bearing on the financial inclusion dialogue and are of immense value to the sector need to interact and work with each other to fuel the larger goal of financial inclusion. The Associates are a valuable part of MFIN's construct and there is a constant dialogue with them at various forums including at the state and district levels. MFIN includes the following institutions in its Associateship programme – Banks, NBFCs, Housing Finance Companies, Insurance Companies, Business Correspondents, Private Equity Social Investors, Think Tanks and Foundations.

We have the following Associates in our fold:

ASA International India Microfinance Pvt Ltd NBFC
Credit Information Bureau (India) Limited Credit Bureau
Grameen Foundation India Think Tank
IDFC Bank Bank
IndusInd Bank Bank
L & T Finance Ltd. NBFC
Lok Social Services Indian Foundation
M Power Micro Finance Pvt. Ltd. NBFC
MAS Financial Services Limited NBFC
Muthoot Fincorp Ltd. NBFC
New Opportunity Consultancy Pvt. Ltd. NBFC
RBL Bank Bank
Reliance Capital Ltd. NBFC
Sarvodaya Nano Finance Ltd. NBFC
SMART Campaign, Accion India Think Tank
Sriram Life Foundation Insurance
Svasti Microfinance Pvt. Ltd. NBFC
Vaya Finserv Private Ltd. BC
YES BANK Bank

Voices from our Associates:

“MFIN has a pivotal role to play in defining the future of credit penetration and access to finance for the grassroots in our country. CIBIL is honoured to be a member of MFIN and we look forward to working closely with MFIN in strengthening micro lending and supporting the national momentum of higher financial inclusion and literacy.”

- Satish Pillai, MD & CEO, CIBIL

“Shriram Life is a market leader in providing life insurance cover to mass and rural market segments mainly the “Aam Aadmi” and the micro finance segment. We are building new financial products and services through a multi stake holder approach by associating with MFIN. As a member of MFIN, Shriram Life wants to be a part of the policy dialogue and action plan impacting the financial inclusion agenda and the sector. Thus we want to partner with MFIN members on our financial inclusion agenda.”

- Manoj Kumar Jain, Managing Director,
Shriram Life Insurance Co. Ltd.

“Grameen Foundation India is excited to be an Associate Member of MFIN. It allows us to get important data and information about the financial inclusion space. As a key innovator in the digital financial services space, we are also able to leverage the MFIN platform to share learnings about innovations in the sector. We look forward to engaging more closely with MFIN members going forward.”

- Chandini Ohri, CEO, Grameen Foundation India

“Associate Member as a category has distinctively added scope for ‘other than NBFC-MFIs’ to explore within the ambit of MFIN. YES BANK as an Associate Member of MFIN, is connected to its counterparts in the Microfinance Sector and is getting involved in various insightful forums where we can contribute and exchange learning. MFIN in its advocacy role, has definitely given critical policy imperatives to the sector. Being a bank working in the Microfinance Sector, YES BANK values this relationship with MFIN and looks forward to fruitful outcomes through this.”

- Ajay Desai, Senior President and
Chief Financial Inclusion Officer, YES Bank Ltd.





An Initiative by our Associate Accion

Smart Campaign in 2016

The Smart Campaign completed an intensive research across four countries, 'My Turn to Speak' that reveals in clients' own words, how they are treated by their financial service providers. The study was conducted by Bankable Frontier Associates through low income microfinance face to face surveys in Benin, Georgia, Pakistan and Peru. For more information please refer to :<http://www.smartcampaign.org/news-a-highlights/whats-happening/70-2014/1090-in-their-own-voices-microfinance-clients-speak-out-about-how-theyre-treated>

The Client Protection Standards were created to operationalize where financial inclusion industry sets the bar in terms of the minimum behaviors clients should expect from institutions with which they do business. Building on the seven Client Protection Principles (CPPs), the Client Protection Standards specify what 'doing no harm,' must entail in practice. The Client Protection Standards represent the output of several years of industry collaboration and input, managed by the Smart Campaign. For the standards released in January 2013 as part of the Client Protection Certification Program, the Smart Campaign worked with a Task Force of over 30 experts representing various stakeholders to develop and vet the standards. The standards are truly a public good for and by the industry. Standards that reflect social norms and expectations of an evolving industry must be dynamic. Starting on September 29th 2015, Smart Campaign presented draft Client Protection Standards 2.0 – which represented 18 months of industry consultation and revision. After public comment period, the CPP standards version 2.0 was officially released in May, 2016.

Agent networks play a critical role in increasing financial access by helping financial service providers broaden their reach without needing to build more branches. In order for an agent network to successfully extend access to financial services, the client must be able to trust the agent and perform transactions with confidence. Given the diversity of deployments, there is equally a wide variety of entities that recruit and actively manage agents – it can be an MNO, a service provider or aggregator, a bank, a microfinance institution, etc. These institutions can offer mobile recharge, wallet services, money transfer, bill pay, and correspondent banking on behalf of financial institutions such as account opening, savings deposits and insurance, among other products and services. However, despite the variance in organizational design and products and services offered at different agent networks, there are common questions and issues all agent managers must grapple with, such as limited availability of qualified and capable agents, which has clear implications for client protection. During 2016, Smart Campaign in collaboration with Accion 1 launched a small pilot research project in India to map its Client Protection Principles and standards against various agent models and develop a deeper understanding of the client protection risks and effective and efficient mitigating steps for agent managers. While the study may be expanded in India, it will be replicated in Africa, the results and recommendations from the project will be used to develop draft standards for DFS.

AGM

Governing Board

SROC

EC

CEO

Head SRO

Head State Initiatives

Head Advocacy & Development

Head Communications & Marketing

Manager Operations

Mgr Self Regulation & Compliance

Mgr Grievance Redressal

Mgr Monitoring & Evaluation

AVP Regulation & Surveillance

Mgr Information Hub

Mgr Advocacy & Development

AVP Information Hub

Mgr Communications & Marketing

Accountant

Office Assistant

AVP South Region

AVP North Region

AVP Central Region

AVP East Region

AVP West Region

- AGM - Annual General Body Meeting
- SROC - Self Regulatory Organization Committee
- EC - Enforcement Committee
- SRO - Self Regulatory Organization
- CEO - Chief Executive Officer
- AVP - Assistant Vice President
- Mgr - Manager

MFIN is a Member driven organization with a collaborative, consensus based approach to promote universal access to finance. Policies and structures form the backbone of MFIN's governance system, ensuring healthy development of the NBFC-MFI industry.

Governance Systems

MFIN is governed by the provisions of the Andhra Pradesh Societies Registration Act 2011, under which it has been awarded a certificate of registration as a society, dated 14th December 2009.

Bye-Laws

The MFIN bye-laws adopted by the Members, clearly spell out the transaction of business rules of the institution and governing structures. The bye-laws are revised from time to time to meet the changing policy and regulatory landscape. The bye-laws were revised last in May 2015.

General Body

The General Body is constituted of all members of MFIN and is

the supreme governing body. The General Body meets annually and is responsible for the overall vision and directions for the Society.

Governing Board

MFIN receives strategic guidance in fulfilling its overarching objectives from the Governing Board. The current bye-laws provide for maximum of 12 members, one-third being independent members. The term of each member of the Board is for a term of three years and may stand for election only after a gap of at least one year. The 'Fit and Proper' criteria, as prescribed by the RBI from time to time, is a necessary requirement for becoming a member of the Board.

For the year 2015-16, MFIN

has a Board comprising of a minimum of seven and a maximum of 12 members including a President, a Vice President and a CEO. One-third of the Board consists of independent members. Of the independent members, one is from the Associates of the Society. Currently, MFIN has an 11 member (seven elected members and three independent) Governing Board and a CEO who acts as the Member Secretary to the Society and implements the broad goals of the organization, while providing overall direction to its activities for ensuring healthy development of the NBFC-MFI industry.

Governing Board

PRESIDENT



Manoj Kumar Nambiar
MD, Arohan Financial Services

Mr. Manoj Kumar Nambiar is the MD of Arohan Financial Services, headquartered in Kolkata. Mr. Kumar has over 27 years of experience in consumer finance and retail banking, starting with Modi Xerox, GE Countrywide, ANZ Grindlays and ABN Amro Bank in India. He then headed retail banking at National Bank of Oman, was COO at Alhamrani Nissan Finance Company, KSA and then Dy CEO of Ahli Bank in Oman. Mr. Kumar is a mechanical engineer from VJTI, Mumbai, a management post graduate from JBIMS, Mumbai and also has tertiary qualifications in insurance. He is a Director on the boards of Intellecash Microfinance Network Company (P) Limited, Intellec Software Technologies (P) Limited, is a member of the Credit Committee of Intellegrow and a Trust member of ACSNT (The Harsh Mariwala, MARICO initiative).

VICE PRESIDENT



R. Baskar Babu
CEO, Suryoday Micro Finance

Mr. R. Baskar Babu has 22 years of financial services and banking experience and has earlier worked with First Leasing, Cholamandalam, HDFC Bank and GE Capital in various leadership positions. He is the promoter and CEO of Navi Mumbai based Suryoday Micro Finance. Suryoday is focussed on becoming a world class financial inclusion player with focus on employees and customers to enable a better and sustainable livelihood for its customers. Employee and customer focus, simplicity and transparency are the corner stones of Suryoday value and philosophy.



Anand Rao
MD, Chaitanya India Fin Credit

Mr. Anand Rao is the Co-founder and Managing Director of Chaitanya Microfinance. He has been with Chaitanya for the past five years. He has two years of experience in the corporate sector and six years of experience in the development sector. In the corporate sector, he has worked at Bosch India and Pepsico. In the development sector, he has worked at World Resources Institute, Washington DC and in India at Small Scale Sustainable Infrastructure Development Fund.



K. Paul Thomas
MD, ESAF Microfinance and Investment

Mr. K Paul Thomas is the Chairman & Managing Director of ESAF Microfinance and Investments Pvt. Ltd. He has a Master's Degree in Business Administration. Prior to starting ESAF, he worked for 18 years with the world's largest fertilizer cooperative, IFFCO. In recognition of his contribution to the industry, ILO Geneva invited him to deliver a lecture on the scope of microfinance for livelihood promotion. In 2010, International Labour Organization selected ESAF as one of its partners for implementing its Project Microfinance. ESAF Microfinance has won the prestigious Micro-insurance award constituted by Planet Finance and ING Group in 2007.



Raghavan

CEO, Equitas Micro Finance

Mr. Raghavan is the CEO of the Chennai headquartered Equitas Micro Finance. He has over 28 years of work experience spanning FMCG, retail and microfinance industry. He has held various senior positions in HUL, ITC, Henkel, Dabur and Subhiksha before joining Equitas in 2008. In the past, he has worked as a member of the Enforcement Committee for two years apart from being a part of the Credit Bureau Task Force for a year. Mr. Raghavan is a Commerce graduate from Osmania University and a holder of an Executive MBA degree from IIM-Calcutta.



Meenal Patole

Promoter and CEO, Agora Microfinance India Limited

Ms. Meenal Patole is the promoter and CEO of Agora Microfinance India Limited, an MFI that is engaged in urban space, currently in Mumbai, with strong focus on customer oriented business processes and impact. Ms. Patole graduated from the University of Mumbai with Politics and Public Administration majors, holds a post graduate degree (MA in Political Science and International Relations) from the Jawaharlal Nehru University, New Delhi, and MPhil in Planning and Development from the Indian Institute of Technology, Bombay. She has nearly two decades of experience in microfinance and livelihood promotion and research. She has also written and co-authored publications.



Devesh Sachdev

Co-founder & CEO, Fusion Microfinance Pvt. Ltd.

Mr. Devesh Sachdev is the Co-founder & CEO of Fusion Microfinance Pvt. Ltd. Transparency, governance and commitment to create value for all stakeholders keeping clients at the center are key values of Fusion. He is a XLRI Postgraduate with 16 years of experience in the Service Industry prior to starting this venture. Amongst the diverse experiences, his expertise lies in building business, managing large teams in a cost efficient manner, strategy, key relationship management and handling all dimensions of the business. Mr. Sachdev has served various Boards since 2008.

INDEPENDENT BOARD MEMBERS



Rajat Kathuria

Director and Chief Executive at ICRIER

Mr. Rajat Kathuria is Director and Chief Executive at the national think tank, Indian Council for Research on International Economic Relations (ICRIER), New Delhi. He worked with Telecom Regulatory Authority of India (TRAI) during its first eight years (1998-2006). He has worked with the World Bank, Washington DC as a Consultant and carried out project assignments for a number of organizations, including ILO, UNCTAD, Linde Asia, Ernst and Young, Consultancy Development Centre (CDC) and Standing Committee for Public Enterprises (SCOPE). He has an undergraduate degree in Economics from St. Stephens College, a Master's from Delhi School of Economics and a PhD degree from the University of Maryland, College Park.



Vinay Baijal

Retired CGM, RBI

Mr. Vinay Baijal retired as Chief General Manager (CGM) from Reserve Bank of India (RBI) after working there for 35 years. He worked as CGM, Department of Banking Operations and Development, Central Office RBI for four years, dealing with regulatory framework for foreign banks in India, with emphasis on international banking and anti-money laundering. As CGM, Foreign Exchange Department, Central Office, RBI he dealt with policy framing and implementation of exchange control in India. Mr. Baijal was the founding CEO of Banking Codes and Standards Board of India (BCSBI). Mr. Baijal also worked as a member of the SEBI "Committee on Mis-selling of Mutual Funds" in 2011-12. He is associated as a senior Consultant with KPMG.



Sanjay Sinha

Managing Director, M-CRIL

Mr. Sanjay Sinha is the Managing Director of Micro-Credit Ratings International Limited (M-CRIL) – a leading development consultancy firm which conducts assessments and ratings of microfinance institutions and provides research and advisory services for the development sector. He holds an MPhil in Economics from Oxford University.



Navin Kumar Maini

Deputy Managing Director, SIDBI

Mr. Navin Kumar Maini is the Deputy Managing Director of SIDBI. He has more than three and a half decades of experience in the commercial and development banking in various facets of financing MSMEs and large corporate, microcredit and core business functions. He was also the Chief Executive Officer of the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE), Mumbai. An alumnus of St. Stephens College, Delhi, Mr. Maini holds a degree in Law from Delhi University. He is also a Postgraduate in Management from MDI and IIFT, besides being a Certified Associate of Indian Institute of Banking & Finance.

Ratna Vishwanathan

CEO



Belonging to the 1987 batch of the Indian Audit and Accounts Service, Ms. Vishwanathan comes with extensive experience across a range of departments of the Government of India including Defense and Prasar Bharti. In the development sector she has served at very senior levels in well-known international NGOs such as Oxfam and VSO. She steered these entities through critical change management processes as they transitioned from international liaison offices to 'full fledged Indian entities'. Ms. Vishwanathan is a Director on the Board of Mudra, Member of the RBI's Financial Inclusion Advisory Committee and Chairperson of the South Asian Microfinance Network.

Board Committees

MFIN has three Board Sub-Committees

1. Human Resources

The Board sub-committee on Human Resources is responsible for all HR related issues of MFIN including HR policies. The ambit of the HR Committee was widened last year to include review of overall policy and processes of Human Resources within the members' network as and when the need arises. In the year, the Committee supported the Secretariat with Compensation and Benefits Study for the industry. The composition of the Committee during 2015-16 was as under:

- N. K. Maini, Chair
- Manoj Nambiar
- Meenal Patole
- Ratna Vishwanathan, Member Secretary

2. Finance and Audit

The Board sub-committee on Finance and Audit reviewed the quarterly and annual financials of MFIN including utilization and variance analysis among other things. The Committee is also responsible for guiding investments of surpluses. The composition of the Committee during 2015-16 was as under:

- Rajat Kathuria, Chair
- Devesh Sachdev
- Sanjay Sinha
- Ratna Vishwanathan
- Pallavi Sen, Member Secretary

3. Nominations

The Nominations Committee was formed last year primarily to identify suitable candidates for independent positions on the Board, Self-Regulation Organization Committee (SROC) and the Enforcement Committee (EC). The composition of the Committee during 2015-16 was as under:

- Manoj Nambiar, Chair
- Vinay Baijal
- Ratna Vishwanathan, Member Secretary

Task Forces

1. Task Force on Advocacy and Communications

The Task Force on Advocacy and Communications is responsible for steering and guiding the advocacy and communication agenda within MFIN. It supports the Secretariat in drafting policy notes to various stakeholders including RBI, MoF and other Government departments. The Task Force engages with key policy makers and sector participants to inform them about the microfinance industry represented by NBFC-MFIs and create a conducive policy and business environment for the industry. The composition of the Task Force during 2015-16 was as under:

- Manoj Nambiar, Chair
- Devesh Sachdev
- K. Paul Thomas
- Anand Rao
- Ratna Vishwanathan
- Sugandh Saxena and Vaishali Mishra (Member Secretary)

2. Task Force on Credit Bureau

The Task Force on Credit Bureau is responsible for strengthening the Credit Bureau eco-system for the microfinance clients in the country. Last year, the Task Force was instrumental in shaping a number of initiatives such as improving quality of data submitted by CICs, supporting CIC in developing Data Quality Index (DQI), standardizing fields for input inquiry and in bringing out Board Directive on KYC standards which require member MFIs to capture minimum 2 KYC documents from 4 standard KYC documents i.e. Aadhaar ID, Voter ID, Ration Card and MNREGA Job Card. The Task Force also closely monitored the implementation of the KYC standards amongst MFIs with data from CICs. As a result of these efforts, seeding of Aadhaar in new loans disbursed by member MFIs has increased to 70 percent in May 2016 from less than 10 percent last year.

The composition of the Task Force during 2015-16 was as under:

- R. Baskar Babu, Chair
- Ritesh Chatterjee
- Sadaf Sayeed
- Vivek Tiwari
- Anil Girotra (permanent invitee from the EC)
- Sugandh Saxena (Member Secretary)



3. Task Force on Small MFIs

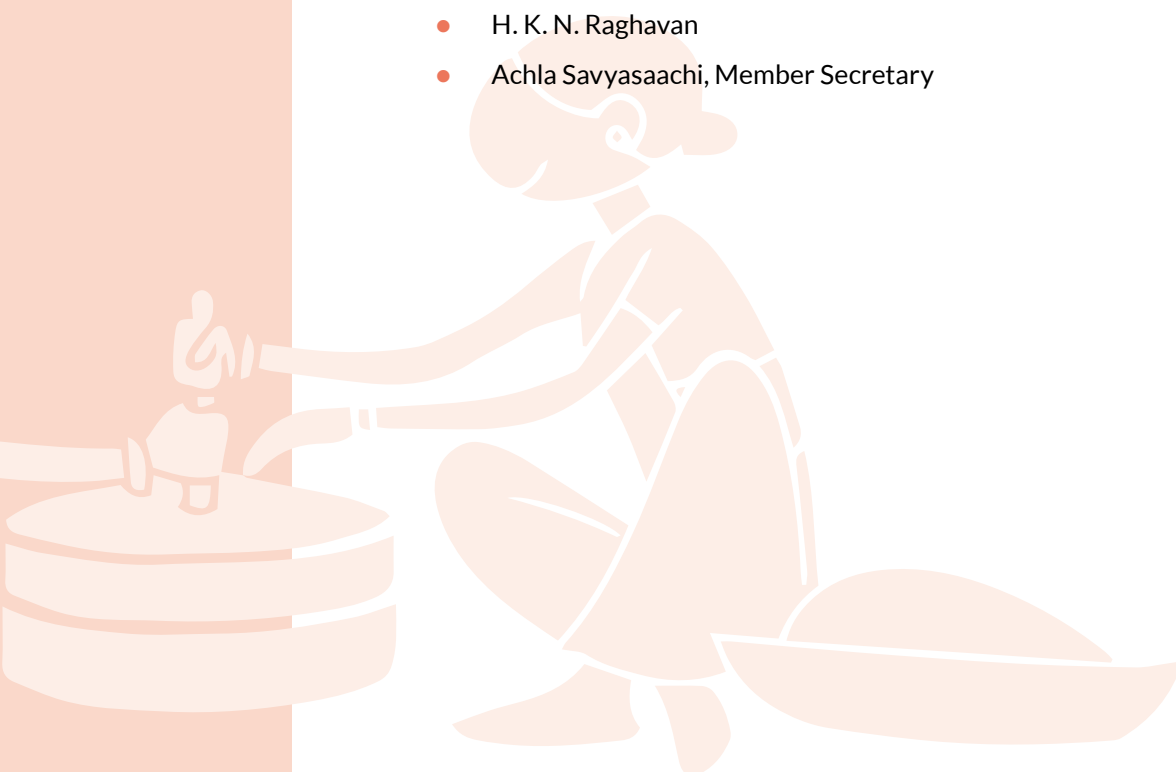
The Task Force on Small MFIs was constituted last year to specifically work on the issues related to small MFIs including access and cost of funding, impact of RBI Directions on pricing of credit in lowering interest rate regime and capacity building support. A roundtable to discuss the funding challenges faced by small MFIs was organized wherein small MFIs, rating agencies and funders participated. The Task Force also provided inputs for MFIN's engagement with the RBI on issue of pricing of credit which caps interest rate through base rate method. The composition of the Task Force during 2015-16 was as under:

- Anand Rao, Chair
- Meenal Patole
- Sanjay Sinha
- Rupali Kalita
- Satya Chakrapani
- S.R. Sinha
- Jatinder Handoo, Member Secretary

4. Task Force on State Initiative Task Force

The Task Force on State Initiatives reviewed the various field level issues brought to the fore by the State Initiative team and gave perspective to the team in addressing them more efficiently and effectively. These included advising on participation in the state chapter meetings, conducting trainings of district lead coordinators and solving MFI employee issues. The composition of the Task Force during 2015-16 was as under:

- K. Paul Thomas, Chair
- Devesh Sachdev
- H. K. N. Raghavan
- Achla Savyasaachi, Member Secretary



SRO – Self Regulatory Organization

A Self-Regulatory Organization (SRO) is an organization that exercises some degree of regulatory authority over an industry. The four key aspects of self-regulation are designing the rules, adopting them, monitoring compliance and achieving the objective following the rules put in place.

There are three kinds of SROs—**independent statutory** organizations set up by an Act of Parliament such as the Institute of Chartered Accountants or the Medical Council of India; **recognized voluntary organizations** such as the Indian Banks' Association and the Association of Mutual Funds in India; and **voluntary organizations** such as the Advertising Standards Council of India and the Institute of Engineers. Till RBI's recognition in June 2014, MFIN was a voluntary platform.

Compliance Officer

As required under the RBI Guidelines, MFIN has a dedicated Compliance Officer for oversight of the SRO functions within MFIN. In order to provide oversight and steer, the Board has set up an Enforcement Committee, which in turn reports into the Self-Regulatory Organization Committee.

Self-Regulatory Organization Committee (SROC) of the Governing Board

For proper discharge of the SRO role and exercising oversight for adherence to regulations and guidelines prescribed by the RBI from time to time, as well as the Code of Conduct (CoC) of the Society by Members, there shall be a Committee designated as the Self-Regulatory Organization Committee (SROC).

The SROC shall comprises of 5 (five) Members of which 2 (two) shall be from amongst the Elected Members of the Board and 2 (two) shall be from Independent Members on the Board. The remaining 1 (one) member of the SROC shall be an independent person of eminence who is familiar with the financial services industry, whose appointment and remuneration will be approved by the Board. In addition, the Chairperson of the Enforcement Committee will be a member of the SROC.

Self-Regulatory Committee (SROC)

Name	Representing Organization
Mr. N. K. Maini, Chair ¹	Ex- Deputy Managing Director, SIDBI
Dr. Rajat Kathuria	Director and Chief Executive at ICRIER
Dr. Kshama Fernandes	CEO, IFMR Capital
Mr. R. Baskar Babu	CEO, Suryoday Micro Finance
Mr. Anand Rao	MD, Chaitanya India Fin Credit
Mr. Haresh Kulshrestha (Ex-officio)	Chief General Manager (Retd.), RBI
Ms. Ratna Vishwanathan (Ex-officio)	CEO, MFIN

Powers and Functions of the SROC:

The SROC bases its mandate on the RBI guidelines dated 26th November, 2013 and any other directions issued in this respect by the RBI which broadly spells out the role of the SRO. The SROC will keep the Board informed of all the facts and decisions. The SROC is the appellate body for EC decisions. The SROC can recommend suspension, expulsion and termination of Membership to the Board with a speaking order in writing. The Board will have the final decision on this.

In the event of a dispute between Members and the EC, the final appeal lies with the SROC and the decision of the SROC will be final and binding.

In the year, SROC met thrice physically and had one discussion over a concall.

Details of the meetings/concalls held by the SROC during the year under review:

Date	Meeting/Concall	Members strength	Members present
29-Jul-15	Meeting	7	7
22-Jan-16	Meeting	7	7
08-Apr-16	Meeting	7	6*
08-Jun-16	Concall	7	5

*One member joined through Skype call

Enforcement Committee

For proper enforcement of the CoC and exercising oversight adherence to regulatory norms with reference to regulatory compliance of the RBI/Government/any other regulatory authority, the Society has constituted an Enforcement Committee (EC). The EC comprises of 5 (five) members, of which 2 (two) are elected from within Industry Members and 3 (three) persons of eminence are appointed by the Board, who are other than the Independent Members of the Board.

The role of the EC shall be to primarily handle issues arising out of internal disputes between the Members and grievances arising from clients requiring redressal. Standard Operating Procedures (SOP), duly approved by the SROC, will define the EC's role as an entity that handles dispute resolution between Members and client grievance redressal issues.

The EC can take the following actions subject to the guidelines approved by the Board:

- Issue warning
- Issue censure
- Levy fines for violations as laid down in the RBI's Fair Practices Code and the Industry CoC
- Recommend suspension/termination of membership of any member to the SROC

An appeal against the decision of the EC will lie with the SROC. Such an appeal will have to be submitted in writing. The decision of the SROC will be final.

The composition of the Enforcement Committee for 2015-16 is as below:

Independent Members	
Mr. Haresh Kulshrestha, Chair	Chief General Manager (Retd.), RBI
Mr. Anil Girotra	Ex-ED, Andhra Bank
Mr. K. S. Singhwan	Chief General Manager (Retd.), SIDBI
Industry Members	
Mr. Prakash Sundaram	CRO, Disha Microfinance
Ms. Carol Furtado	COO, Ujjivan Financial Services
Ms. Pallavi Sen (Ex-officio)	Head SRO & Compliance Officer

In the year the EC met four times and had three discussions over concalls.

Details of the meetings/concalls convened by the Enforcement Committee:

Date	Meeting/Concall	Members strength	Members present
19-Aug-15	Meeting	6	6
30-Dec-15	Meeting	6	5
20-Feb-16	Meeting	6	6*
29-Feb-16	Concall	6	5
13-Apr-16	Concall	6	5
06-May-16	Meeting	6	5
17-Jun-16	Concall	6	5

*One member joined through Skype call





General Body Meetings

MFIN Annual General Meeting

The MFIN Annual General Meeting (AGM) was conducted on the 28th of June 2016 in Mumbai to adopt the annual budget and work plan for MFIN for the financial year 2016-17. The General Body Members also elected its new Board through a secret ballot process. The Governing Body members are:

- R. Baskar Babu
- Rakesh Dubey
- H.K.N. Raghavan
- Dibyajyoti Pattnaik
- Anand Rao
- Meenal Patole
- Devesh Sachdev

The nominated Independent members who continue from the last Board Meeting are:

- Rajat Kathuria
- Vinay Baijal
- Sanjay Sinha
- Navin Kumar Maini

President - R. Baskar Babu

Vice-President - Rakesh Dubey

Knowing your clients – The Aadhar way!

The importance of unique identification number for the country, its citizens as well as various public and private agencies and enterprises is well documented.

In the absence of a robust country-wide resident identification system in India, both residents and public/private agencies have been facing enormous transactional costs in establishing and authenticating the identity of an individual customer. This is especially true of the financial services at low market segments. It is here that the strength of Aadhar lies.

Low-income market segments in India, particularly women, are characterized by very poor quality Know Your Customer (KYC) information (name, date of birth, address) and normally rely on ration card or Voter ID to prove their identity and address. While both ration card and Voter ID are widely available at low income population segments, the identity and demographic information seeded there is often inaccurate and insufficient. This lack of verifiable authentic KYC information puts trust barriers for both customers and financial institutions during a financial transaction. **In this context, Aadhaar becomes a huge enabler in delivery of financial products and services to the low-income market segments.**

Over the last one year, MFIN and its member NBFC-MFIs have taken massive efforts in taking advantage of Aadhaar to bring in enormous benefits to the industry, credit information system and the customers.

Traditionally, NBFC-MFIs have been relying on strong field-level connect with the customers along with ration card and Voter ID to know the customers for information regarding identity, demographic, credit behavior and indebtedness. However, as the industry reached a certain scale, it was recognized that field-level connect was not sufficient and there was a need for a common industry infrastructure to share and verify information about the customers.

In 2011, NBFC-MFIs started working with Credit Information Companies (CICs) in developing Credit Bureaus for the microfinance customers who typically



have poor KYC information. **Within a span of five years, microfinance credit bureaus have given information collateral to over 6 cr low-income-women customers thereby enabling them access to finance.** On a weekly basis, 4 cr loan accounts updated by NBFC-MFIs and monthly 60 lakh customer enquiries are done on Credit Bureaus to support credit decisions including the level of indebtedness among customers.

However, while much has been achieved in terms of developing the credit information system for microfinance customers including standardization of common data format for data submission, discipline around submission and usage of data and improving data quality. However, it was realized that the absence of standard KYC ID is threatening the credit information system. It was observed that multiple IDs are creating multiple identities for same customers as demographic data differs in different KYC documents such as ration card, Voter ID, MNREGA job card etc. In several cases, this resulted in a situation where Credit Information Report (CIR) extracted for an 'individual' with a particular set of KYCs did not capture all records pertaining to this 'individual' as the 'individual' had different demographic information across KYC IDs. As a result, profile of an 'individual' gets truncated into different multiple individuals and the CIR captures only a limited credit profile leading to cases of multiple/over lending.

It was recognized that an important way to deal with this anomaly is to gradually increase the Aadhaar seeding amongst clients. Given that there has been substantial progress in the issuance of Aadhaar across the country, the industry decided to progressively move towards capturing Aadhaar ID. This has been done in the following manner:

- For the initial three months' period, from 1st October 2015 – 31st December, MFIs were asked to ensure that new loans disbursed in a state would have Aadhaar seeding as per the state level Aadhaar penetration with a granted 20 percent leeway. Benchmark for Aadhaar seeding based on Aadhaar penetration data from UIDAI was published by MFIN. For example, if Haryana had an Aadhaar penetration of 80 percent, MFIs were required to ensure that for new loans disbursed, at least 60 percent would have Aadhaar seeding.
- From 1st Jan 2016 to 30th June 2016, MFIs were asked to ensure that new loans disbursed

in a state have Aadhaar seeding as per state level Aadhaar penetration with a 10 percent leeway. For example, if Haryana has Aadhaar penetration of 80 percent, MFIs were required to ensure that for new loans disbursed, at least 70 percent have Aadhaar seeding.

- From 1st July 2016, MFIs were asked to ensure that new loans disbursed in a state have 5 percent more Aadhaar seeding as per state level Aadhaar penetration. For example, if Haryana has Aadhaar penetration of 80 percent, MFIs were required to ensure that for new loans disbursed, at least 85 percent have Aadhaar seeding.

As a result of the above efforts, **NBFC-MFIs have made a major push towards Aadhaar and today over 60 percent of the loans are disbursed using Aadhaar.**

Seeding of loan accounts with Aadhaar has further improved the credit information system by tagging every customer with a unique key and therefore significantly improving the database and query reports that are generated. Aadhaar is helping in accurately capturing the total indebtedness of the borrowers and therefore addressing the issue of multiple and over-lending. It is also addressing the issue of 'identity theft', which is a big risk in the financial services industry. For customers, it is simplifying the process of accessing credit through formal financial institutions.

However, on ground a number of challenges remain. In several districts (particularly Odisha, Tamil Nadu, Bihar and Uttar Pradesh etc.) and population segments (such as tribal/rural), Aadhaar penetration is much less compared to aggregated state level Aadhaar penetration. Further, for people willing to get enrolled, there are not many enrolment agencies and their presence is far and few and hence they are difficult to approach. Additionally, there are customers who have enrolled with UIDA for Aadhaar but have not received the Aadhaar ID in physical form so unable to share the Aadhaar as KYC IDs. On behalf of the industry, MFIN is engaging with UIDAI to address these issues at the field level.

Additionally, to ensure the consistency of demographic data of the customers across MFIs, there has been a move to capture the key demographic details (name, age, father/spouse) from Aadhaar.

Our Work



MFIN works through four verticals namely

Self-Regulation

Advocacy and Development

Communication and Marketing

State Initiatives

MFIN is organized in four verticals namely, Self-Regulation, Advocacy and Development, Communication and Marketing and State Initiatives at a top level in order to be able to focus on the priorities of the sector in an optimum manner. While previously policy advocacy was the primary focus and continues to be so, with the evolution of the sector there are various new functions that have become a part of the framework. The Self Regulatory function was part of RBI's remit to MFIN to help supervise compliance at a more granular level on behalf of the Regulator. With the sector coming back into it's own over the last five years, there was a felt need for greater engagement with external stakeholders and a strong communication strategy is the way ahead. With the industry growing steadily ground level issues are often key indicators of sectoral good health. With this in view the State Initiative team keeps continuously engaging with industry issues at a field level to ensure smooth functioning.

Self-Regulation

1. Surveillance

In exercising its role as a SRO, MFIN seeks to ensure that proper framework and processes are put in place by members to ensure adherence to the regulations stipulated by the RBI, the Fair Practices Code (FPC) and the Industry Code of Conduct (CoC), voluntarily adopted by the all Microfinance Institutions.

Surveillance is carried out through:

- | | | | |
|---|---|--|--|
| <p>A Self-assessment by MFIs based on a self-assessment tool called the Industry Compliance Index) which factors in the compliance parameters.</p> | <p>B Client Grievance Redressal Tracker which tracks information of the FPC and the CoC.</p> | <p>C Reports furnished by Credit Information Companies (CICs)</p> | <p>D Anecdotal information from the field by our State Initiative team. This data is validated through external third party evaluation to verify its authenticity and efficacy.</p> |
|---|---|--|--|

A. Industry Compliance Index

The IC Index comprehensively covers 94 granular criteria derived from the RBI's Fair Practices Code (FP) and the industry's own voluntary Code of Conduct (CoC). It is broadly categorized into four segments:

		Weightage	Sub-section	Parameter
Disclosures to customers		39%	5	37
Customer engagement		20%	2	18
Institutional processes		33%	4	31
Transparency		8%		7

The **Industry Score** over the last three iterations, which is at six monthly intervals has been as under:

- Third RBIndex, 2014-15, HY1 – 89.93%
- Fourth RBIndex, 2014-15, HY2 – 90.25%
- Fifth ICIndex, 2015-16, HY1 – **88.65%**

What's **new** in 5th & 6th **ICIndex**?

- The number of parameters have increased to **94**

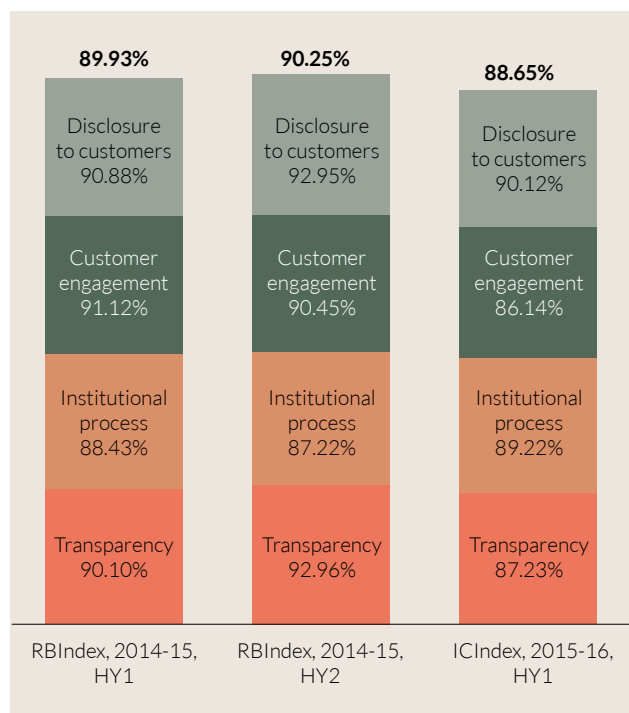
from 83 including an open ended indicator on prudential norms.

- The sections “**disclosure to customers**” has 2 new sub-sections: “**in loan application form**” and “**in loan sanction letter**”
- With addition of 2 new sub-sections and 11 new questions, the respective scores of a few parameters have changed.

The **Industry Score** for the last 3 exercises is as under:

- Third RBIndex, 2014-15, HY1 – 89.93%
- Fourth RBIndex, 2014-15, HY2 – 90.25%
- Fifth ICIndex, 2015-16, HY1 – **88.65%**

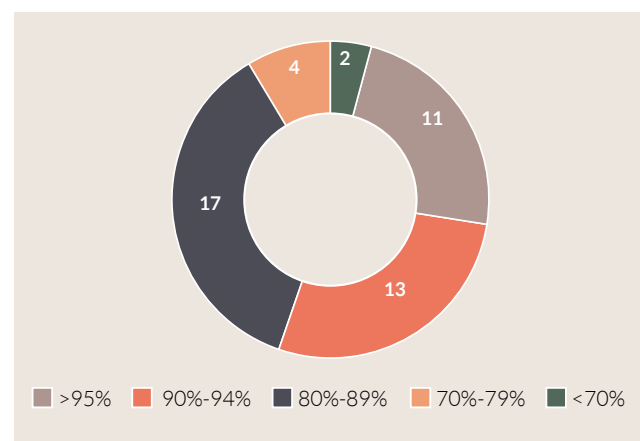
A more granular comparison of sub-sections is as under:



The overall score of the industry from HY1:

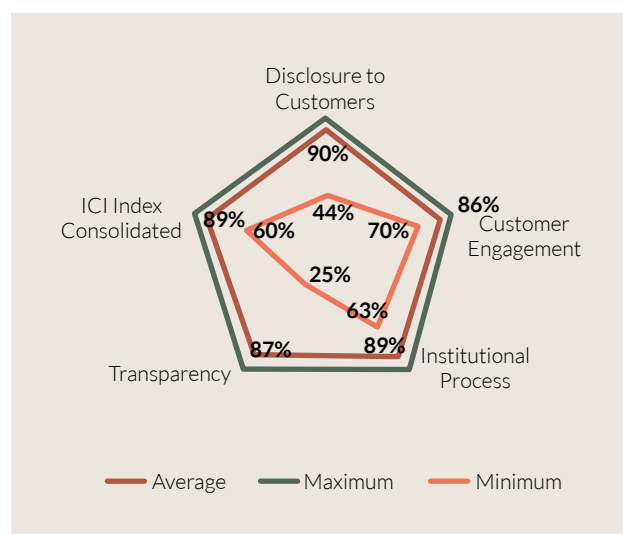
- Industry collectively has an overall industry compliance score of 89%
- 23% (11) members have score > 95%
- 28% (13) members have score in the band of 90%-94%
- Only 13% (6) members have score of less than 80%

Industry | Performance of members



The graph below shows the performance of industry in four sections using industry maximum, average, and minimum scores.

- Based on average score, industry compliance score is 89%, best being in disclosure to customers (90%)
- Average industry score for ICIndex and various sections are as under:
 - Overall: 89%
 - Disclosure to customers: 90%
 - Customer engagement: 86%
 - Institutional process: 89%
 - Transparency: 87%



B. Client Grievance Redressal Mechanism

One of the key aspects of MFIN's SRO role is client grievance redressal. To ensure standardization of the grievance redressal process, existing Grievance Redressal Mechanisms (GRMs) from 40 MFIs were taken and the good practice prevalent was culled out. This in turn was used to draw up a standard three tier Grievance Redressal mechanism based on the capacity of various sized MFIs to ensure a common benchmark.

At a granular and more functional level, MFIN seeks the CGR data in a standard template every quarter. The client information on the tracker is very detailed and helps in monitoring and resolving issues as a part of MFIN's due diligence mechanism by a two way process of clients calling in and MFIN calling out based on the information furnished. The outbound calling is on random basis after reviewing the information submitted by MFIs on the Tracker.

C. Reports Furnished by CICs

The RBI mandates that all NBFC-MFIs must upload client information to all the four existing Credit Bureaus. MFIN Credit Bureau Standards dated 3rd October, 2012 stipulates that all MFIN Members should submit full credit data to all CICs on a weekly frequency. A Monitoring Report is shared by the Credit Information Companies (CICs) with MFIN every month.

Based on the NOC shared by member NBFC-MFIs, the Credit Information Companies (CICs) share a Monitoring Report every month with MFIN.

Data thus submitted to CICs is analyzed by MFIN from the Monthly Monitoring Report received from CICs on the following parameters :

- i) Timely submissions
- ii) Comprehensiveness of data submitted
- iii) Rate of rejection
- iv) Frequency of data submission, and
- v) Report (CIR) usage to the EC for review.

As submitting credit information to Credit Bureaus is mandatory by MFIs, instances of timely non submission are brought to the notice of the Enforcement Committee (EC) set up by MFIN to assist the process of statutory compliances. MFIs are liable to be penalized for non compliance

D. Third Party Evaluation

As is evident from the above process, the IC Index and Grievance Tracker information are Self Assessment Tools. Information on uploading of CB data is received from an external source. All these three components go towards measuring the level of compliance by MFIs. In order to ensure compliance as also verify and validate such data, an independent third party evaluation of the above processes is carried out. This is done by external agencies who are empaneled by an Expert Committee.

This Committee is comprised of three eminent people from outside the industry and one independent member of the Board.

A standard Methodology and Compliance Score Card model has been pulled together by MFIN from the learning derived from the first three evaluations run as a pilot. This is to ensure homogeneity of Reports to provide equal comparator parameters. Evaluation of 12 NBFC-MFIs was carried out this year a part of the evaluation exercise this year. Remaining members will be covered in the coming year.

SRO Reports to RBI

As part of the SRO mandate from the RBI, MFIN is required to submit quarterly reports to the RBI. The Report covers the activities and developments of the SRO. During the period April 2015 to March 2016, four reports have been sent to the RBI. These Reports typically cover compliance issues, dispute resolution between MFIs, client grievance redressal issues, action taken by MFIN's Enforcement Committee and appeals, if any, to the SRO Committee of the Board. These Reports also cover any other occurrences at field level or that have a bearing on the microfinance ecosystem. At times, the RBI asks independently for information which the SRO furnishes.

Dispute Resolution

The NBFC MFI industry has a voluntary Code of Conduct (CoC) to which members sign up to once they join the Network as MFIN Members. Dispute between members of MFIN can occur over breach of Code of Conduct (CoC) or violation of relevant RBI Regulations. Members use the SRO empowered system of settling disputes instead of taking action unilaterally through the SROs Enforcement Committee. The SRO Committee is the Appellate Authority for dispute resolution cases. The details of complaints processed during the year are as follows:

Sr. No	Details	Count of individual complaint	Count of bulk complaint	Total
1	No. of complaints received during the year	457	14597	15054
2	No. of complaints redressed during the year	207	14597	14804
3	No. of complaints pending at the end of the year	250	0	250

2. Grievance Redressal

Grievance redressal is an important part of the SRO framework. MFIN, with technical support from Smart Campaign has developed a '**Three Level Progressive Framework**' consisting of nine broad parameters and 17 indicators. The framework derives extensively from existing practices of MFIs. The framework factors in the differing capacity of MFIs and provides a three tier structure (Level 1, 2 and 3) to be adopted in terms of resources and capacity of members. The aim is to move from Level 1 to 2 and 2 to 3 in an incremental fashion to bring all organizations to a uniform level. To roll out the process and socialize MFIs with the new standard mechanism, three one-day workshops were conducted by MFIN and Smart Campaign with the objective of disseminating the framework.

GRM Accelerator: MFIN has devised and developed a self-evaluation tool based on the three tier GRM Framework to enable the staff handling GRM to scale up and strengthen the systems and processes for GRM. The "GRM Accelerator", helps to monitor progress on the framework through a dashboard and gives an overview of organizational performance. The tool has been shared with the members for internal tracking of progress and GRM strengthening.

MFIN Toll Free Number

A key initiative on GRM has been the setting up of the MFIN Toll Free Number (**18002700317**) in July 2015. This Toll free number gives direct access to microfinance clients to reach out to the SRO with their grievances. Although the SRO grievance redressal mechanism is an appellate level mechanism, there is no restriction on clients reaching out to MFIN. In the event of clients reaching out, the SRO facilitates communication of client complaints to the concerned MFI and tracks its resolution. In case the case is

not resolved to the satisfaction of the client within the stipulated Turn Around Time (TAT), MFIN's Enforcement Committee steps in to resolve the same.

The toll free number runs on cloud based telephony. All calls get recorded and call logs are available with time stamping, call duration, circle of origination, agent ID (the receiver), caller ID and unique ticket number. If the call is not picked up, there is an IVR facility and voice recording. The application runs on two different dashboards:

- Inbound calling from client to MFIN
- Outbound calling from MFIN to client

Currently, this function is being run in-house by MFIN. The team that handles the calls consists of a Grievance Redressal Manager based at MFIN headquarters and four Regional Managers (state chapter representatives) stationed in the regional locations.

Publicizing the Number

Post launch efforts have been made to popularize the number among microfinance clients. For this purpose, stickers of MFIN Toll Free Number were printed and sent to the member MFIs. The sticker design has been shared with the member MFIs and is incorporated in the loan card design so that loan cards printed henceforth would have the Toll Free Number details.

3. Revision in Industry Code of Conduct

The Microfinance Industry has evolved to play an enhanced role in the financial inclusion dialogue over the years. Consequently, the need for a consensus based industry framework, to ensure standardization and compliance in a uniform manner across all microfinance institutions was a natural corollary. The first edition of a unified Industry CoC for the Microfinance Industry was put together in 2011. As the industry has undergone a lot of changes over the last four years, MFIN undertook the task of revising the Code in conjunction with a multi-stakeholder Working Group, consisting of representatives from SIDBI, IFC, M-CRIL and Sa Dhan. The result was a 2nd Edition of the Industry Code of Conduct. The salient features of the 2nd Edition of Code of Conduct include more robust standards on corporate governance, measures to reduce client over indebtedness, mandating use of



Aadhaar over a period of two years, strengthening grievance redressal management and enforcement of the CoC through the SRO. All the changes focus on the fundamental aspects of responsible business and enhanced client protection. The revised code also includes a supplementary document “MFIs Commitment to Customers” recommended by the working group which is to be used as a separate one pager pull out, to be given to the customer at the time of loan disbursement.

4. Training & Capacity Building

An essential component of client protection is client education. MFIN provides clients with tools and resources that can help them make wise financial decisions. To raise awareness on credit bureau and the merits of maintaining a good credit history, MFIN in partnership with IFC initiated the Credit Bureau Awareness Project for Microfinance Institutions in India in 2012. The Project objective was to expand and deepen consumer understanding of the importance of building a strong credit history, as well as the implications of credit information sharing, credit reports and the role of credit bureaus. Further, the Credit Bureau Consumer Awareness Campaign aimed to support MFI's across India to enhance their institutional capacity to effectively deliver, disseminate and

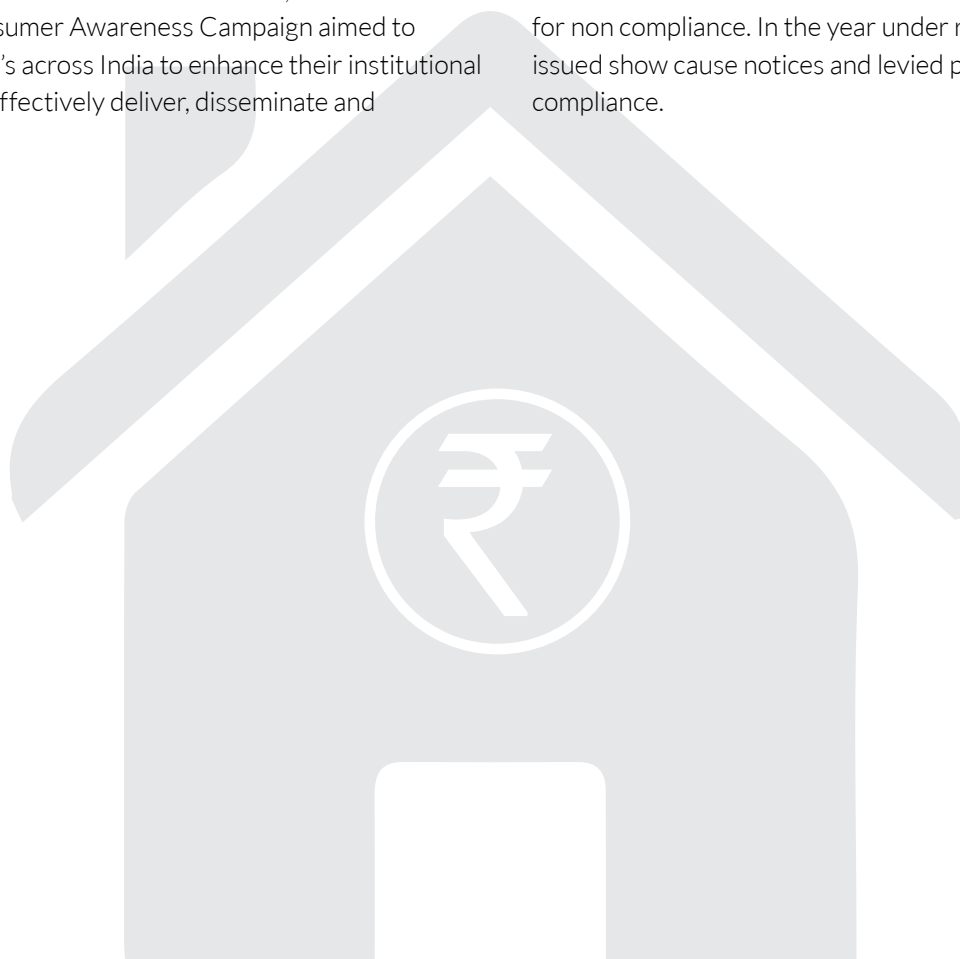
implement consistent quality consumer protection and credit related financial education. A host of campaign collaterals such as posters, picture cards and banners have been designed for the Campaign.

As a next step, a pilot with four Member NBFC-MFIs namely, Agora Microfinance, Jagaran Microfin, Margdarshak Financial Services and Shikhar Microfinance was initiated this year to test the suitability of these modules. A baseline and impact survey will be carried out to assess the impact of dissemination through this communication material.

5. Enforcement Committee

MFIN has an Enforcement Committee (EC) comprising of five members, of which two are elected from amongst the Authorized Representatives of Member institutions and three members are independent persons of eminence.

The Enforcement Committee helps MFIN perform its SRO functions. The EC has a defined Standard Operating Procedure (SOP) and Internal Rules of Procedure. It has the wherewithal to impose penalties for non compliance. In the year under review, it has issued show cause notices and levied penalties for non compliance.



Advocacy and Development

Advocacy

During the year, MFIN continued its engagement with key stakeholders of the microfinance industry, specifically with the Reserve Bank of India (RBI), Ministry of Finance (MoF), MUDRA/SIDBI, UIDAI and the Ministry of Urban Development.

The focus of the dialogue with these entities has been to improve the policy and business environment for the microfinance industry in the country, so that it can contribute concretely to the national agenda on financial inclusion.

With the RBI, besides the specific issues related to NBFC-MFIs (such as PSL, Qualifying Assets Criterion, Pricing of Credit), there has been a broader-universal regulatory architecture dialogue especially for the financial institutions operating at low-income market segments. With increasing policy focus on financial inclusion, there are multiple financial institutions operating in low-income market segments and their number is expected to grow in the coming years. Different financial institutions function with a varied degree of market discipline and customer protection code. In order to safeguard customer interests, it is necessary that all these institutions are subjected to the same set of customer level discipline. MFIN has been engaging in a comprehensive policy dialogue with various market participants to address the said issue. In addition to this, MFIN has also provided detailed feedback to the RBI Discussion Paper on P2P lending and the RBI Report of the Committee on Medium-term Path on Financial Inclusion.

Another critical piece of MFIN advocacy efforts has been improving the credit information system. For low-income customers, who are otherwise devoid of traditional collaterals, information collateral through credit information report is a big asset to access credit. MFIN in close collaboration with NBFC-MFIs and CICs has steered the building of this critical infrastructure for low-income clients. However, there are a number of issues which still need to be addressed sequentially to improve the efficacy of the system, such as on-boarding of data of SHGs (Self-help Groups), comprehensive Credit Information Report (CIR) of customer

integrating information from both consumer and microfinance databases, improving supply of data and the report quality and mandatory seeding of Aadhaar to support CICs in identifying a client across bureau database. MFIN has been providing continuous inputs to the RBI on these matters.

For Aadhaar, MFIN has been addressing the issue of enrolment in certain geographies where customers don't have Aadhaar ID with UIDAI. MFIN is also linking its member MFIs and UIDAI to see how MFIs can use Aadhaar ID for eKYC and demographic authentication and therefore digitalize their loan application process.

MFIN has also been actively engaging with the Ministry of Housing & Urban Poverty Alleviation (MoHUPA) for National Urban Livelihoods Mission (NULM) scheme. MFIN participated in the two Technical Advisory Group Meetings held on 19th January, 2016 and 4th March, 2016 respectively. The scheme now intends to route credit through NBFC-MFIs, as key partners. MFIN has submitted its suggestions to the Ministry on the scheme guidelines, involving NBFC-MFIs as channel partners. A core consultative group of MFIN members has been formed to provide suggestions in this regard.

MUDRA/SIDBI

The CEO MFIN also is part of various think tanks and discussion forums including the RBI's Financial Inclusion Advisory Committee, the MUDRA Board, the PSIG Think Tank and the ACCESS Assist Advisory Group.

Development

Information Hub

Knowledge and information based on relevant, accurate and timely data are key drivers for the work that MFIN carries out. Over the years, MFIN has taken a series of steps to contribute to the body of information that guides market practices and supports policy discourses.

MFIN's Information Hub provides wide-ranging data and analytics on the microfinance industry to be used

by various industry participants including regulators, government, investors/funders, rating agencies, media and academia among others. The Hub has played an instrumental role in bringing greater transparency and accountability to the industry and supporting them with standard benchmarks.

During the last year, MFIN published four editions of the Micrometer, which provided quarterly trends on the key operational and financial indicators of the microfinance industry at a pan India and state level. A range of indicators were increased to include break up of portfolio (by geography and loan purpose), cost of funds, pricing of loan products, break-up of equity (foreign and domestic) and rating. The Micrometer is published within 45 days of the quarter closure and is extensively used across the industry. MFIN also published the MicroScape, an annual publication based on audited financial statements of member MFIs. The publication provides a comprehensive annual analysis on full range of operational and financial data.

MFIN published its inaugural edition of MicroSpread, which provides district level data of member MFIs on key operational indicators such as number of MFIs operating, branches, loan accounts, loan amount outstanding and disbursements. This publication is currently only available to MFIN members and associates.

Credit Bureau

MFIN has been closely working with MFIs and the Credit Institution Companies (CICs) to improve the Credit Bureau ecosystem through a series of Credit Bureau standards, diagnostic studies, systems and process guidelines on Credit Bureau systems and processes and monitoring framework. Some of the important initiatives included standardizing the format for input inquiry format (which is used for extracting the Credit Information Report) and developing Data Quality Index (DQI) which helps MFIs in identifying gaps in data quality.

Another key achievement for MFIN has been enforcing the KYC standards which mandated capturing a minimum of two KYC IDs from amongst the four standard ones i.e. Aadhaar, Voter ID, ration card and MNREGA job card. Benchmarks for KYC seeding were gradually increased during the year to allow MFIs to align with the requirements. This greatly helped in improving

the KYC seeding in loan accounts and thereby improving the overall data quality of data submission of MFIs and match by CICs. As a result of this effort, in June 2016, the Aadhaar seeding has increased to 70 percent in the new loans that have been disbursed.

Human Resources

As part of its mandate to improve the eco-system of the industry, MFIN undertook a number of initiatives in the area of Human Resources:

Workshop of HR Heads: A workshop of all HR heads of MFIs was organized to discuss the key HR challenges in the industry and ways to address them. The workshop also provided a platform to HR heads to share own experiences and best practices. Workshops helped in identifying key human resources priorities for the industry and MFIN. A google group has also been created to facilitate exchange of information and ideas.

Compensation and Benefits Study: MFIN in partnership with Aon Hewitt undertook a comprehensive study on compensation and benefits within the industry. Twenty-six NBFC-MFIs participated in the exercise representing various sizes (small=8, medium=7, large=11) and regions (north=5, east=5, west=6, south=10). Together these MFIs represent 50 percent of the employee base of the industry as on the 31st March 2016. Detailed reports of this study including that on prevalence of benefits and compensation in different positions under various functions across regions and MFIs size (large, medium and small) was shared with member MFIs. The report is expected to support MFIs in benchmarking compensation and benefits in their own companies.

National Occupational Standards and Training

Module for Field Staff: Field level staff, i.e. the loan officers and branch managers are the foundation of the human resource pyramid in the industry accounting for over 75 percent of the employee base. They provide last mile connectivity to the customer and therefore are the most critical component in ensuring regulatory compliance, customer interface, under-writing process and productivity.

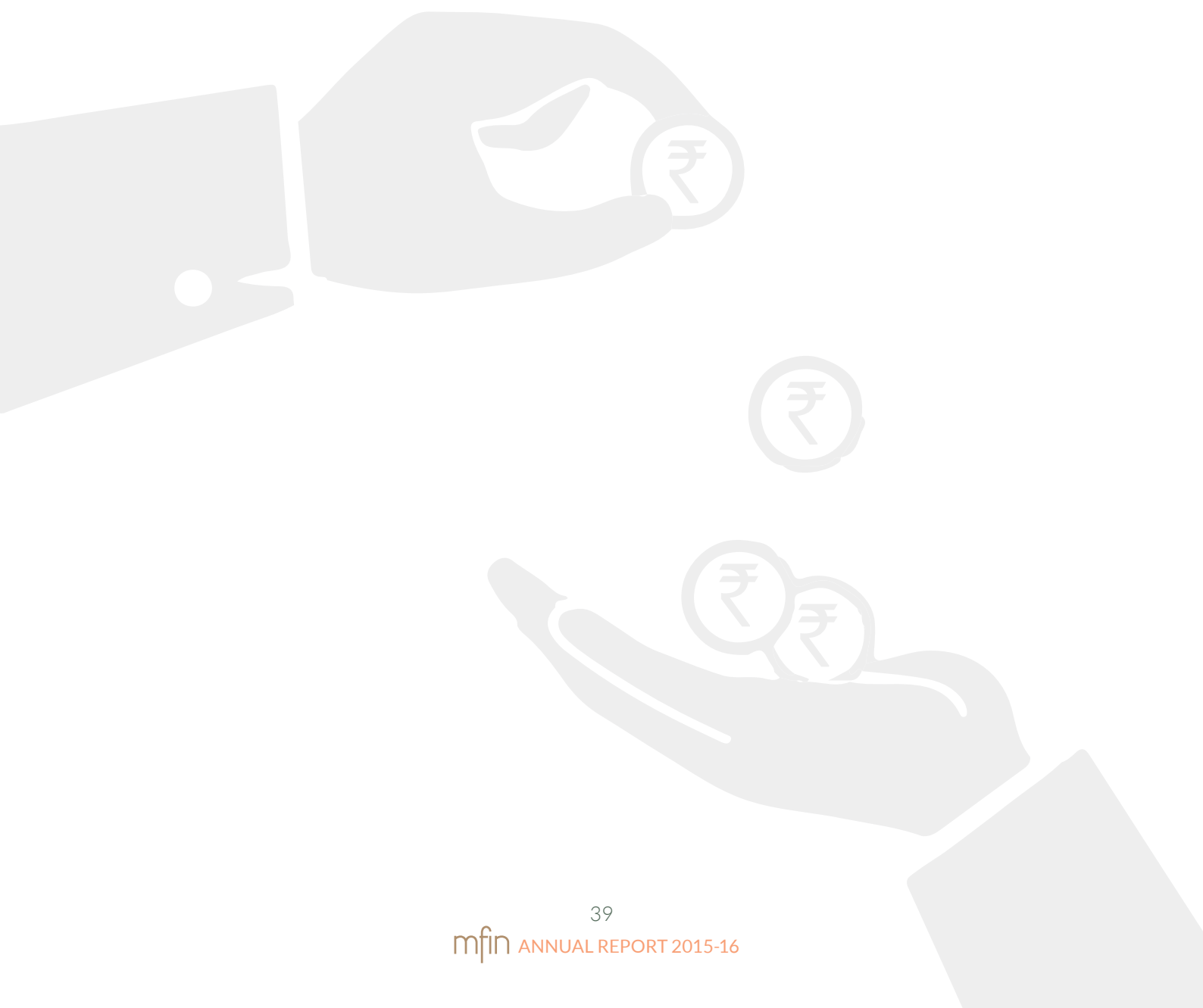
Much of this staff is locally employed from amongst youth population and typically have low educational-socio-economic background. While MFIs spend significant resources in training these people, it is

felt that there is need to standardize the trainings to improve the overall quality of HR and output.

MFIN engaged with the National Skills Development Council (NSDC) and Banking Financial Services & Insurance (BFSI) Sector Skill Council (SSC) on the flagship government initiative on skilling youth in rural and urban India. Given that the NBFC-MFI industry currently employs over 70,000 youth (as loan officers/branch managers) and would employ several thousand youth in the coming years (to meet growth, attrition and promotion etc.), MFIN approached NSDC and BFSI-SSC to recognize positions of microfinance executive (loans officers) and branch managers under the financial services. Last year, the National Occupational Standard (NOS) for the microfinance executive (i.e. loan officer) was developed and got approved by the NSDC.

MFIN is currently working on developing the training content based on the NOS. In parallel, MFIN and BFSI have initiated the process of developing NOS for branch managers as well.

Small MFIs: In the last couple of years, while funding to the industry has grown significantly, small MFIs still face challenges in accessing funds (both debt and equity). However, in the emerging landscape (Bandhan converting to Bank, 8 NBFC-MFIs converting to SFBs in next 18 months), for the continued growth of the microfinance industry, it is very critical that the funding eco-system for small MFIs (existing and new ones) improves. In this context, MFIN organized a round-table to examine the funding opportunities/challenges for small MFIs and identify ways to address them.



Communication and Marketing

MFIN's communication and marketing strategy has focused primarily on building a positive perspective around the sector by engaging proactively with external stakeholders. This has included visioning and positioning efforts with relevant stakeholders and establishing MFIN as a knowledge center.

MFIN has systematically over the past one year engaged with the media at the national, state and district level to build a positive and informed perception about the industry. In this context, MFIN organized a series of state and district level meetings including in Mumbai, Maharashtra; Bhopal, Madhya Pradesh; Lucknow, Uttar Pradesh; Patna, Bihar and in Rudrapur in Uttaranchal. This has resulted in the vernacular press publishing articles about the positive role that the sector is playing in providing access to finance to the vulnerable low income populations. At a national level, MFIN has been engaging with leading financial dailies as a source of information and opinion on varied industry issues. In addition to this, the vertical supports the State Initiatives team in addressing perception issues faced by MFIs in the field. The enhanced visibility of MFIN has resulted in the organization participating in various plenaries and forums across the country.

In a bid to strengthen MFIN's position as a knowledge center about the sector, MFIN has been interacting

with networks such as SAMN, SEEP Network and Banking with the Poor. Under the SAMN platform, MFIN successfully conducted the South Asian Conclave on Financial Inclusion in New Delhi on the 8th and 9th of March 2016. MFIN also engaged with the SEEP Network on building a National Level Framework on Disaster Preparedness targeting the financial institutions in India including the NBFC-MFIs. MFIN regularly provides empirical data to the Banking with the Poor and SAMN for their periodic assessments about the country level industry growth.

MFIN is committed in engaging with different stakeholders and as part of its Associateship programme has brought into its fold diverse players such as banks, NBFCs, insurance companies, think tanks and business correspondents. *For more details, please refer to the section on Associateship.*

To stay relevant in the public eye, MFIN has been building on various communication collaterals. MFIN released the Documentary "Including the Excluded: Powering Responsible Finance" at the SAMN Conclave on the 8th of March 2016. It also released the publication "Pathways to Financial Inclusion in South Asia: the role of Microfinance" at the SAMN Conference. Other publications included the revised Code of Conduct for the industry, the corporate dossier and the brochure on self-regulation.

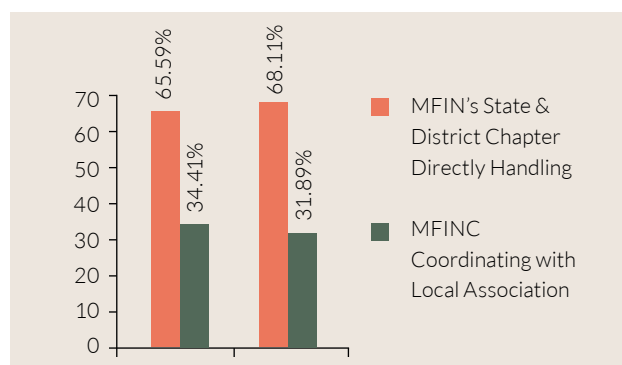


State Initiatives

The MFIN State Initiative team has its presence in all the states either through state coordination committees that have been set up with MFIN members or through affiliated state associations. Presently, MFIN State Initiative covers 25 states through 13 state chapters and 411 district forums. State Initiative engages with three state associations that are affiliated to MFIN to cover two more states in the southern region and one in the northern region.

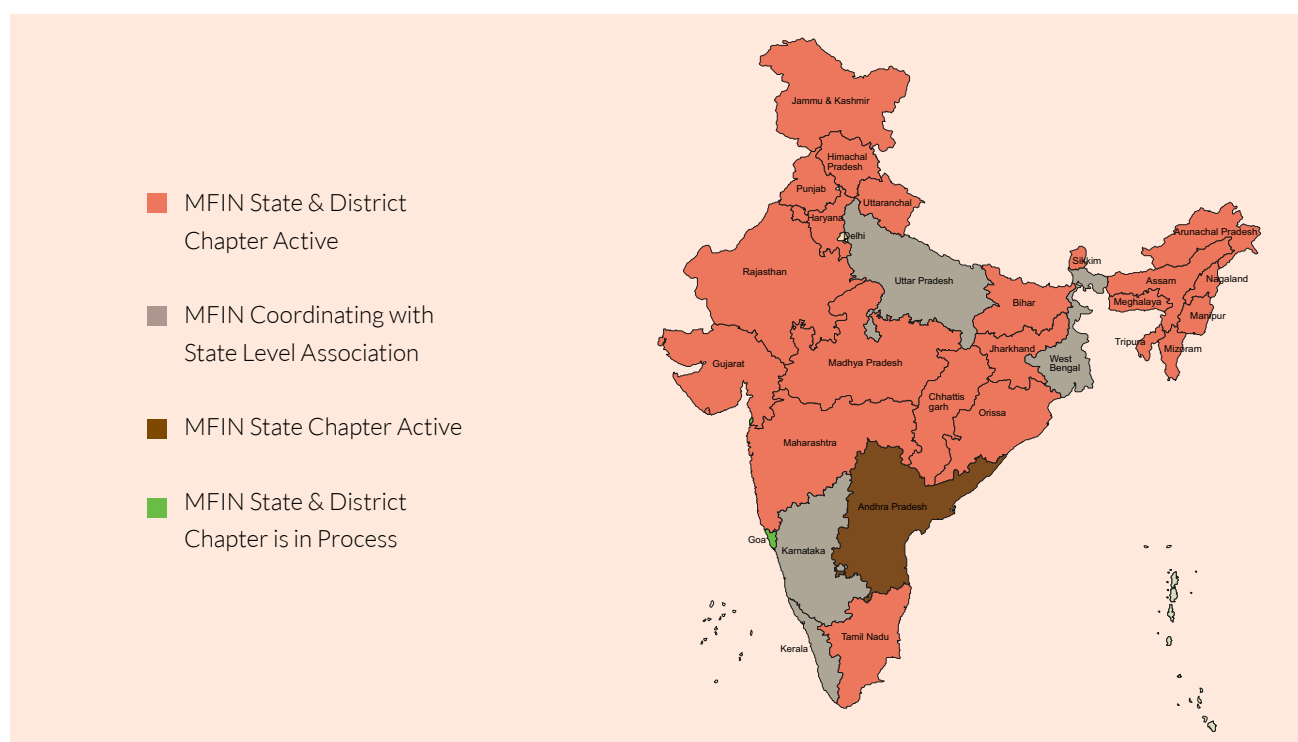
The team has created collective platforms at the state and district level by setting up and operationalizing state chapters and district forums. These platforms have played a significant role in strengthening the understanding of stakeholders at a local level in the role that NBFC-MFIs play in promoting universal financial inclusion. During the year, this initiative has brought greater coordination among members in their field operations. This has enabled in creating a receptive environment in the field to enable member institutions to operate and carry on their mission and vision.

Some of the key initiatives that were undertaken during the year included putting in place participation through nomination to streamline the membership in the state chapters, a greater role being played by the



State Coordination Committees in building linkage with important stakeholders like RBI, State Finance Department, Law and Order Enforcement Authority, SLBC, SLCC, District Authorities and Law making bodies and understanding local HR issues of the MFIs. Training programs were scheduled to stimulate capacities of lead coordinators of district forums. Virtual platforms have also been created to galvanize effective sharing and coordination among members of state and district platforms.

The State Initiatives team is also responsible for gathering ground level intelligence and trends and flagging the same with the concerned member MFIs operating in the concerned region.



MFIN State Initiative's outreach

Region	Name of the State Chapter
North & Central	Chhattisgarh
	Delhi & Haryana Composite Chapter
	Northern Composite Chapter (Himachal Pradesh, J & K, Punjab)
	Madhya Pradesh
	Uttarakhand
	Uttar Pradesh-UPMA*
Eastern & North-Eastern	North-East Composite Chapter (Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim & Tripura)
	Bihar & Jharkhand Composite Chapter
	Orissa
Western	Gujarat
	Maharashtra
	Rajasthan
Southern	Karnataka-AKMI*
	Kerala-KAMFI*
	Tamil Nadu
	Telangana & Andhra Pradesh

*UPMA-Uttar Pradesh Microfinance Association

*AKMI-Association of Karnataka Microfinance Institutions

*KAMFI-Kerala Association of Microfinance Institutions

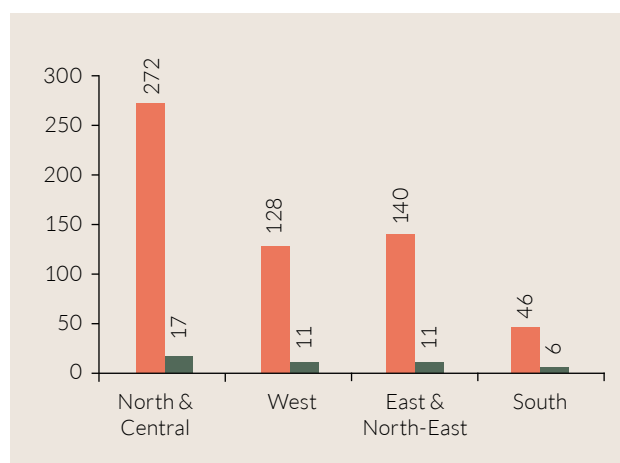
The team periodically convenes meetings at both the state and district level. A total number of 45 state chapter meetings and 586 district forum meetings were held during the year.

Status of State Chapter Meetings & District Forum Meetings in the Year 2015-16

These platforms provide members with an opportunity for sharing, learning and peer group feedback to state level leadership of member institutions. MFIN also organized state level HR, Risk and Audit heads workshops wherein state heads of these verticals came together and discussed issues and challenges and shared best practices.

MFIN also organized State Level interfaces with the Police Department to generate awareness among police officials on the policy developments for promoting financial inclusion and the role being played by NBFC-MFIs in that context. These meetings proved very helpful in addressing information gaps which

otherwise were obstructing smooth MFI operations. In addition to this, MFIN has also initiated events in the field to strengthen the interface between members and clients. This year witnessed two such programs at Sholapur in Maharashtra and at Vidisha in Madhya Pradesh with a total of 2000 women participating in the events. This also included a job fare where 300 young people participated.



Financial Inclusion to Sustainable Development: The Road Travelled

March 8th-9th 2016, New Delhi, India

The South Asia Micro Entrepreneurs Network (SAMN) and Micro Finance Institutions Network (MFIN) hosted the Financial Conclave 2016: Financial Inclusion to Sustainable Development: The Road Travelled on the 8th and 9th of March 2016 at Taj Palace in New Delhi, India. The conference was the second edition of the SAMN series, the first being held in Islamabad, Pakistan.

The Conference was well attended with a total of 400 participants over the two days. These included participants from the five South Asian countries of Pakistan, Afghanistan, Bangladesh, Sri Lanka and India. The Conclave has been of tremendous significance to MFIN in a number of ways. This was for the first time that MFIN was taking upon itself to organize an event of this magnitude and scale. It was also for the first time that a Conference dedicated to Microfinance was being held in India which brought on board South Asian countries. The fact that 25 sponsors representing different financial entities endorsed MFIN's visibility and leadership in the Microfinance Industry.

The Conclave was inaugurated by Secretary DFS, Ministry of Finance Ms. Anjuly Chibduggal. MFIN also had the good fortune of having Prof. Muhammad Yunus address the gathering through a video recorded message. The valedictory address was given by Ms. Supriya Sule, Honourable Member of Parliament.

SAMN Financial Inclusion Conclave 2016





Some of the key highlights of the program included:

- Unveiling of the MFIN documentary in the opening session
- A special video message by Nobel Laureate Muhammad Yunus
- The Conference was inaugurated by Secretary DFS along with other key dignitaries including Mr. Chandrasekhar Ghosh and Citi representative Mr. Ashok Swarup
- Unveiling of the MFIN publication “Pathways to Financial Inclusion in South Asia: The role of Microfinance by Mr. Vijay Mahajan
- Reserve Bank of India participation at the Conference was significant with Mr. U.S. Palliwal and Mr. N.S. Vishwanathan joining the Conclave as speakers in two different panel discussions
- The Grand Debate and the Self-Regulation panel sessions were one of the most well received sessions of the Conference with stalwarts such as Honourable Member of Parliament Jay Panda, Vijay Mahajan, Rathin Roy and Eric Savage part of the plenary
- The valedictory address was given by Ms. Supriya Sule, Honourable Member of Parliament
- The event was covered live by CNBC-TV 18

MFIN looks forward to hosting the next International Conclave in the year 2017 on Microfinance in Asia: A Mosaic of Opportunities.



mfin Achievements

Economic Times-BFSI Best Brand 2016 Award

MFIN is proud to share the recognition that has been awarded to the organization by ET for its pioneering contribution to the Microfinance Industry. The award was handed to MFIN in a ceremony on the 16th of June 2016 at Hotel Taj Palace, New Delhi. The gathering consisted of members from the fields of banking, insurance and broking. There were six different categories including banking, asset management, broking, life insurance, general insurance and microfinance. The chief guest for the event was Mr. Amitabh Kant, CEO Niti Aayog. The felicitation was done by Mr. Kant and the Deputy CM of Delhi Mr. Manish Sisodia.



MFIN in the News

'MFI sector can cover Bandhan gap of ₹10k cr'



Q&A

RATNA VISHWANATHAN
Chief executive, MFIN

The Micro-finance Institutions Network (MFIN), the representative body of MFIs, has been instrumental in bringing out several regulatory changes in the sector. With Bandhan set to become a bank and several other MFIs seeking to become small finance banks, the MFI industry is faced with new challenges and opportunities. **RATNA VISHWANATHAN**, the new chief executive officer of MFIN, in an interaction with **Nirmala Acharya**, throws light on the road ahead for the sector. Excerpts:

What is your outlook for the sector?

The current size of the MFI industry is ₹60,000 crore. The industry is going through a lot of changes, as a lot of new entities are coming up, offering different financial products. Having said that, the overall outlook for the MFI industry is positive. Of course, one has to take into account that one of our largest MFIs, Bandhan is moving out and becoming a bank. This means that the overall gross loan portfolio of the MFI industry will come down by nearly ₹5,000 crore. However, at the same time, there is a lot of investment pouring in to the sector. This apart, the RBI has raised MFI lending limits from ₹50,000 to ₹1 lakh. Thus, there is a likelihood that more money will flow into the sector. In the last financial year, we

grew at 64 per cent. We expect a moderate rate of growth this year, because a very high rate of growth is detrimental.

As Bandhan moves out, what would be the expected size of the MFI industry by next year?

There are predictions that we could go up to ₹60,000-70,000 crore. However, this depends on the absorptive capacity of the sector. However, we will be able to cover the gap of ₹5,000 crore, which Bandhan is going to create, by increasing the lending portfolio. At the same time, we should be careful that things are done equitably. We should not push the products that customer does not want.

Many MFIs have applied for a small bank licence. If some of them get the licence, what will be its

impact on the sector?

Of nearly 45 members, nearly 17 MFIs have applied for a small bank licence. Though not all will get a licence, we expect a sizeable number to get it. However, this should take a year at least, because we expect the announcement to come by August-end. We will have to wait and watch. We can't predict how much money will go out of the sector. However, we would look at it in positive perspective. We will have yet new entities to fund the MFIs. Thus, in the interest of easy access of fund, this is a positive development. Moreover, there is a huge credit demand between ₹1 lakh and ₹10 lakh. The small finance bank will serve the small enterprises. Moreover, they will not do much of non-secured lending, whereas the MFIs do only to non-secured lending.

సూక్ష్మ రుణాల జోరు

- రూ.50,000 నుంచి రుణ పరిమితి పెంచారు
- 44 బ్యాంకుల నుంచి రుణ పరిమితి పెంచారు
- రుణ పరిమితి పెంచుకున్న మొత్తం రుణం



New CEO for microfinance body

Mumbai, June 3

Ratna Vishwanathan will take charge as Chief Executive Officer of Microfinance Institutions Network (MFIN) with effect from July 1. Currently, she is the Deputy CEO. The current CEO of MFIN, Alok Prasad, completes his second term on June 30. Ratna has served MFIN for the past one year and is designated as the Compliance Officer on behalf of the RBI after MFIN was assigned to be a Self Regulatory Organisation by the apex bank, MFIN said in a statement. **OUR BUREAU**



MFIN launches toll-free helpline

Microfinance Institutions Network (MFIN), an industry association and self-regulatory organization for the microfinance industry in India has launched a national helpline number — 181002700317 for microfinance institutions' customers across India. The objective of launching a toll free MFIN helpline will be to provide a platform for the clients to register their grievances that they have faced in dealing with their respective MFIs, a release said.

एमएफआईएन द्वारा माइक्रोफाइनेंस एजेंडा पर परिचर्चा का आयोजन

रायपुर। भारत में माइक्रोफाइनेंस उद्योग के अग्रणी उद्योग संगठन और स्व-नियमन संस्था (एसआरओ) माइक्रोफाइनेंस इंस्टीट्यूट्स नेटवर्क (एमएफआईएन) ने (माइक्रोफाइनेंस-फॉस्टरिंग द फाइनेंशियल इक्लुजन एजेंडा को बढ़ावा देना) विषय पर पैनल परिचर्चा का आयोजन किया गया।

देश में वित्तीय समावेशन का लक्ष्य हासिल करने के लिए माइक्रोफाइनेंस संस्थानों को बैंक के जिम्मेदार भागीदार बनाने की दिशा में नीतियों एवं विनियमन संबंधी बदलाव इस परिचर्चा का मुख्य विषय था। पैनल में माइक्रोफाइनेंस की कार्यप्रणाली से जुड़ी बारीकियों और ग्राहक केंद्रित प्रक्रियाओं पर भी चर्चा की गई, जिससे एनबीएफसी-एमएफआई सामाजिक-आर्थिक पिरामिड के निचले स्तर पर रहने वाले लाखों परिवारों को सेवा प्रदान करने में



सक्षम भी हुई है। माइक्रोफाइनेंस के बारे में आम लोगों के बीच जागरूकता लाने के मकसद से आयोजित इस सत्र में सिडबी के महाप्रबंधक प्रकाश कुमार, एसकेएस माइक्रोफाइनेंस लि. के मुख्य प्रोसेस अधिकारी रितेश चटर्जी, सेटिन क्रेडिट केयर नेटवर्क लि. के मुख्य कार्यकारी अधिकारी विवेक तिवारी विशेष रूप से अपनी उपस्थिति दर्ज कराई।

Industry Trends

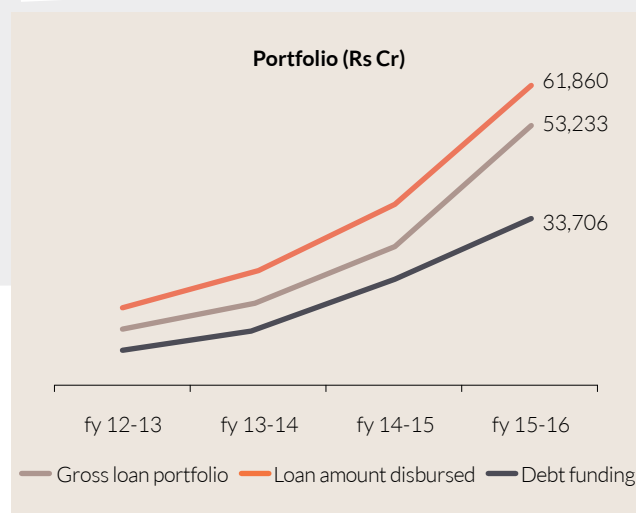
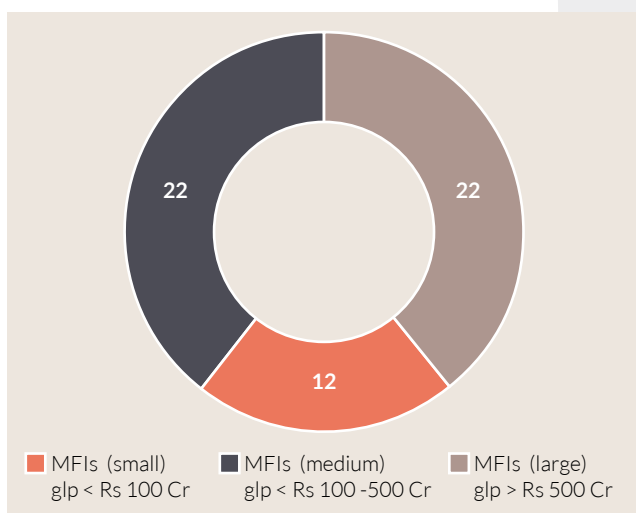
Market players:

Out of total 67 NBFC-MFIs registered with the RBI, 53 are members of MFIN. Market share within the industry is concentrated with groups of 22 large MFIs, which account for almost 90 percent of the industry assets, client base, loan amount disbursed and funding. The aggregate gross loan portfolio (glp) of MFIs stood at Rs. 53,233 cr (excluding non-performing portfolio i.e. PAR > 180 days in Andhra Pradesh). This represents a yoy growth of 84 percent over fy 14-15 and an increase of 24 percent over the last quarter.

Data as on 31st March 2016

Branches	9669
Employees	87402
Loan Officers	54261
Clients (in lakh)	325
GLP (in Rs. cr) ¹	53233
Loan amount disbursed (annual, in Rs. cr)	61860
Average loan disbursed per account (Rs.)	20152

Distribution of NBFC-MFIs (31st Mar 2016)

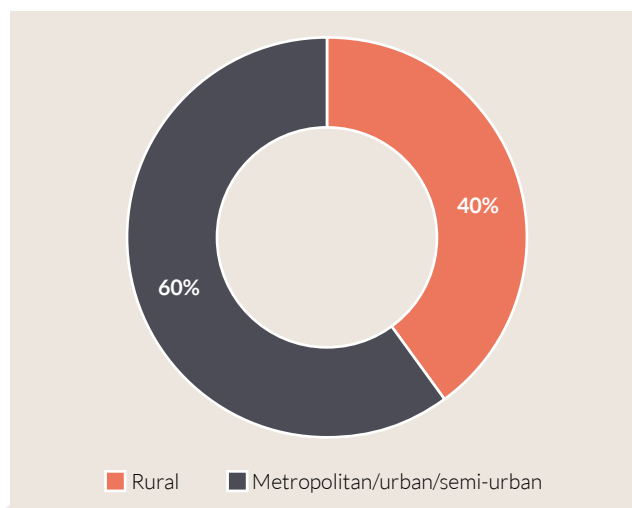


¹ Excluding non-performing portfolio (PAR > 180 days) in Andhra Pradesh. Portfolio numbers include Ujjivan data as of 30th Sep 2015 and Satin as of 31st Dec 2015.

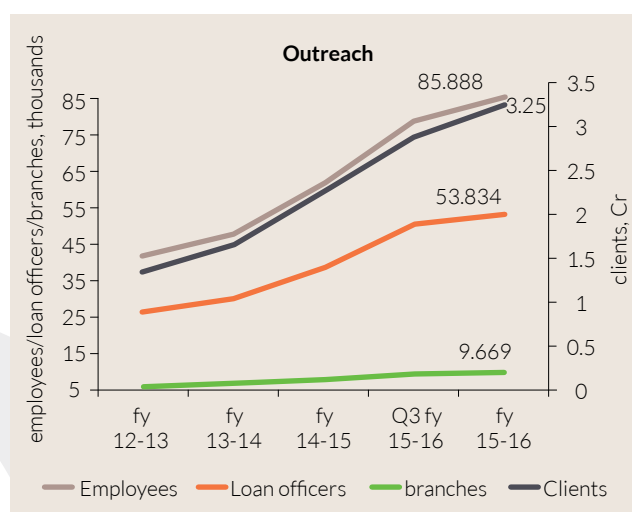
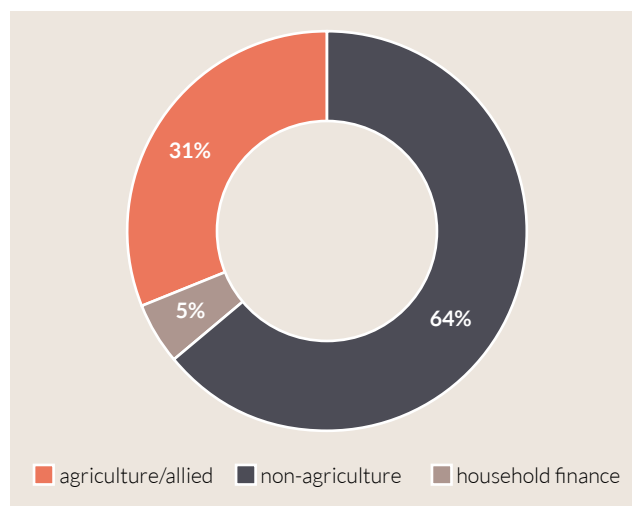
Loan Disbursed/Outreach:

Annual loan amount disbursements in fy 15-16 reached Rs. 61,860 cr, representing increase of 65 percent compared to fy 14-15. Average loan outstanding per client grew by 11 percent to 16,394 as compared to fy 14-15. As of 31st Mar 2016, MFIs on aggregated basis have a branch network of 9,669 and employee base of 85,888 of which 62 percent are loan officers (i.e. 53,834) who provide door-step credit to low-income clients served by MFIs.

Break-up of glp, geography (31st Mar 2016)

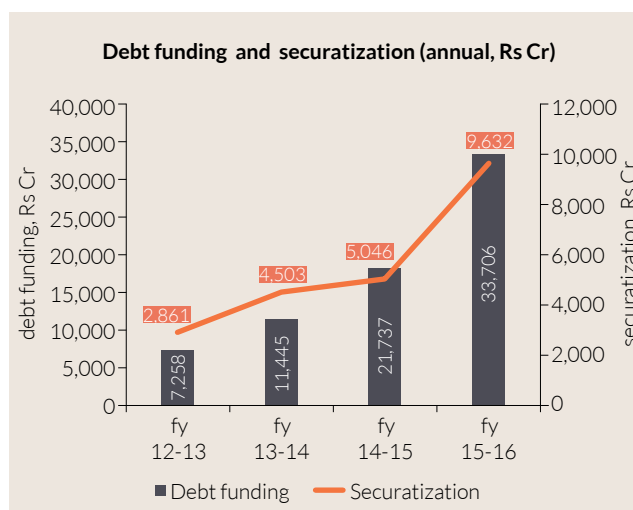


Break-up of portfolio, purpose (31st Mar 2016)



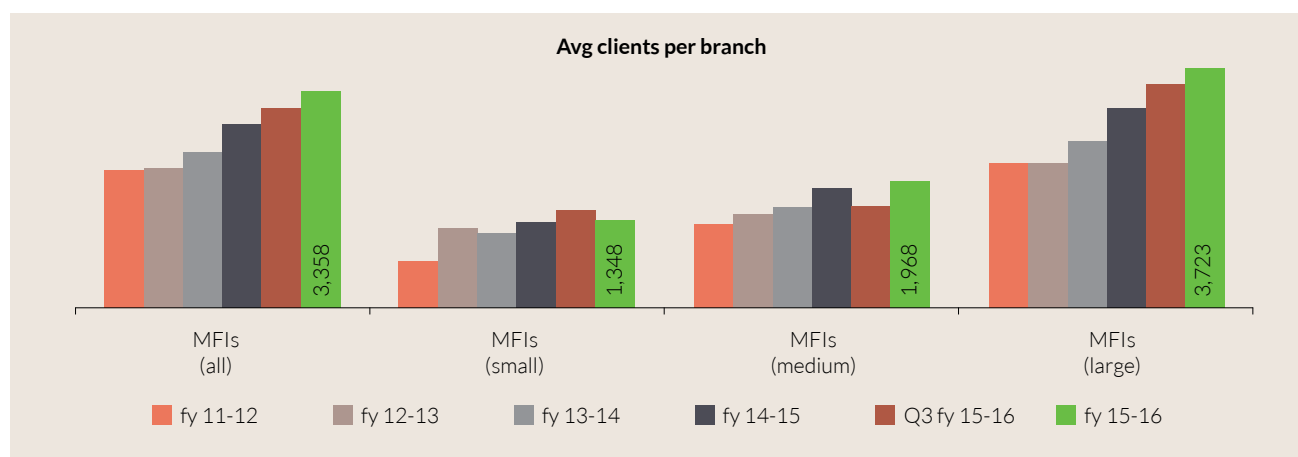
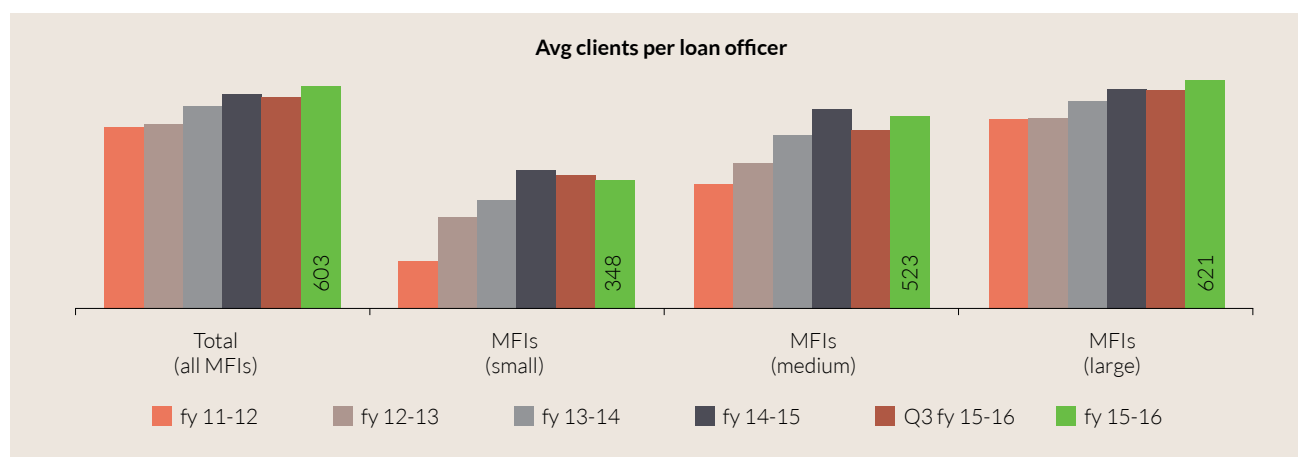
Industry Funding:

During fy 15-16, MFIs received a total debt funding of Rs. 33,706 cr debt funding (from banks and other financial institutions). This represents an increase of 55 percent compared to fy 14-15. Group of large MFIs account of 89 percent of total debt funding received in fy 15-16. Share of non-bank funding has been increasing and accounts for 40 percent of the total debt funding this fiscal.

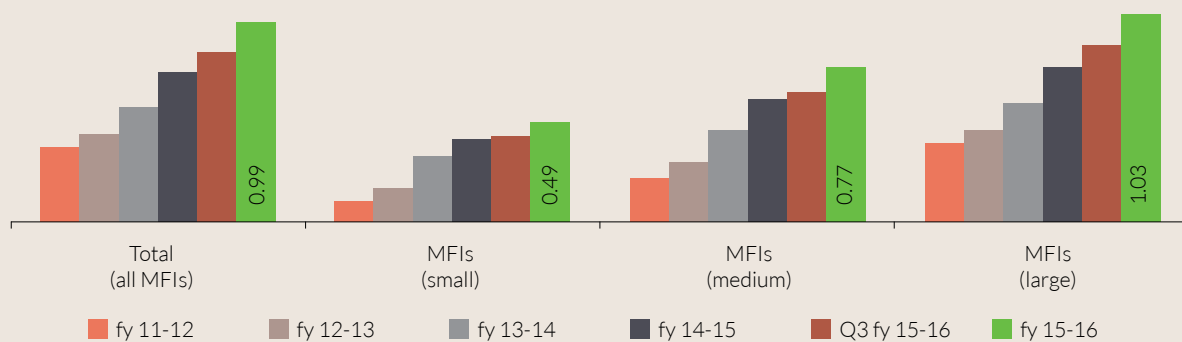


Productivity:

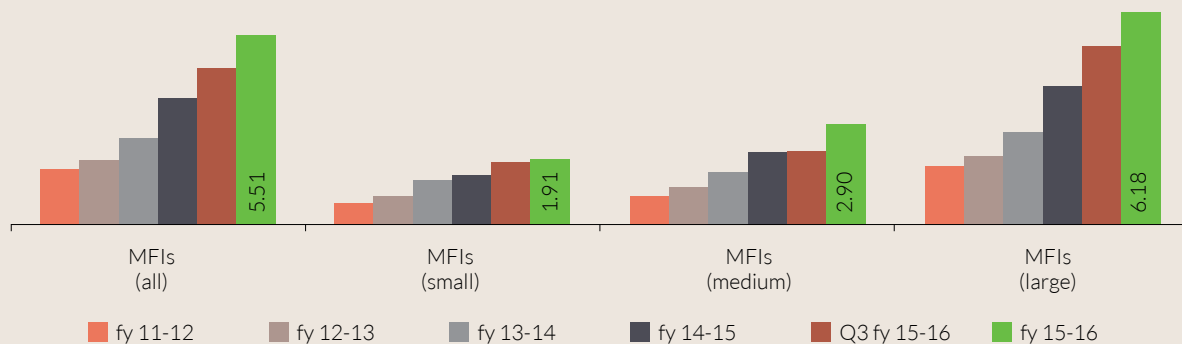
On aggregated basis, a typical loan officer in the industry on an average caters to 603 clients with a portfolio of Rs. 0.99 cr. Similarly, on aggregated basis, a typical branch in the industry on an average caters to 3,358 clients with a portfolio of Rs. 5.51 cr. Key productivity ratios (clients per branch, glp per loan officer and glp per branch) continue to increase upwards. A typical loan officer from a group of large MFIs have 79 percent more clients and 109 percent more gross loan portfolio (glp) compared with a typical loan officer from a group of small MFIs.



Avg glp per loan officer (Rs. Cr)

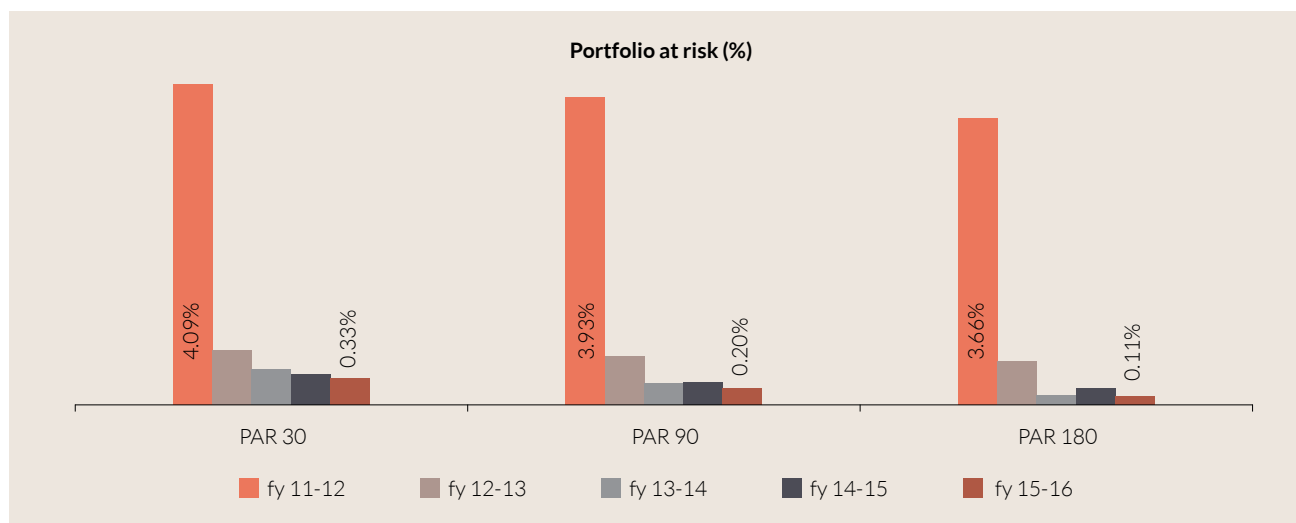


Avg glp per branch (Rs. cr)



Portfolio Quality:

In fy 15-16, Portfolio at Risk (PAR)² remained under 1 percent indicating healthy portfolio quality.

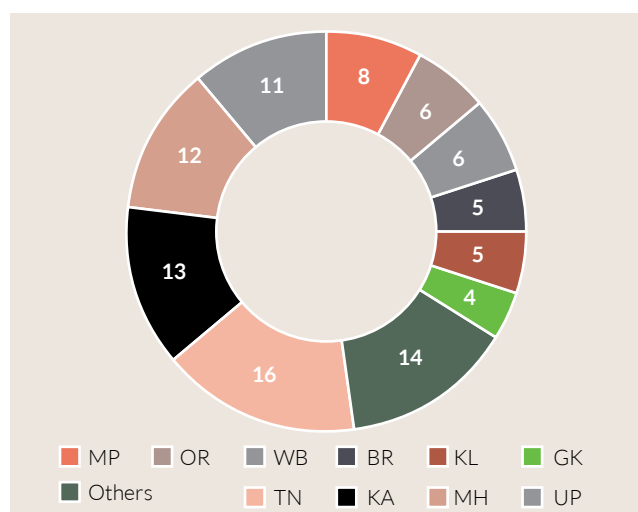


Pan India Presence of NBFC-MFIs:

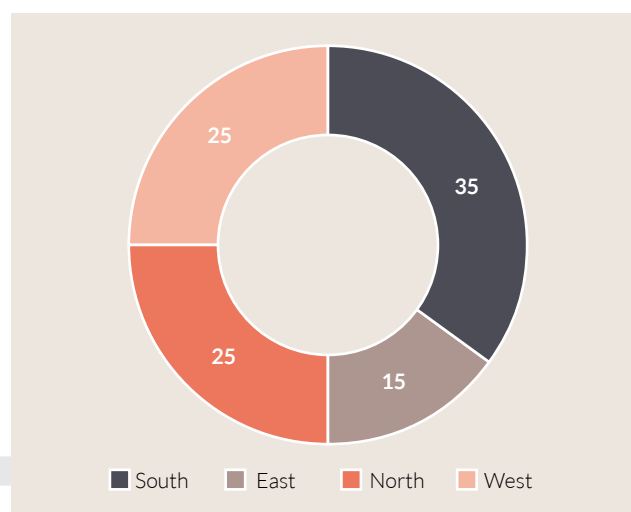
As per current regional distribution of portfolio (glp), south accounts for 35 percent of the total industry portfolio, west for 25 percent, north for 25 percent and east for 15 percent.

Top five top states, viz. Tamil Nadu, Karnataka, Maharashtra, Uttar Pradesh and Madhya Pradesh account for 60 percent of glp

State wise distribution of glp (31st Mar 2016)⁶

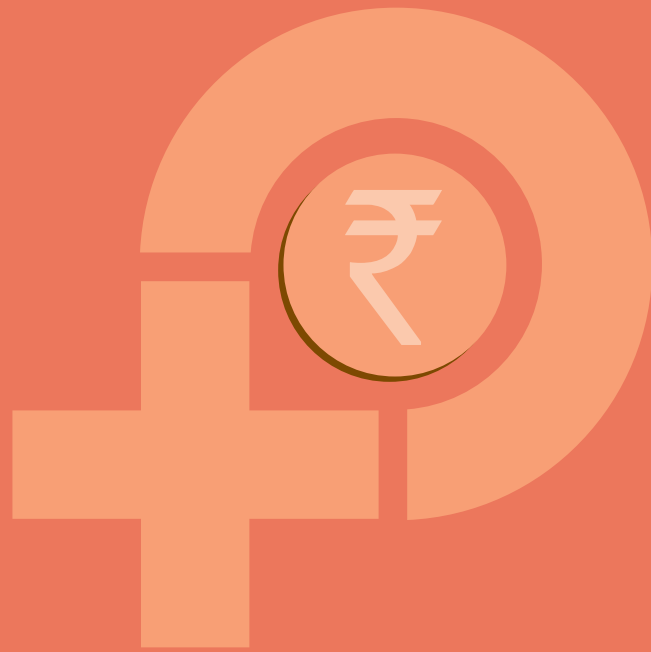


Regional distribution of glp (31st Mar 2016)



² PAR data does not include data from MFIs under CDR and SKS

Microfinance Plus



MFIN Members are committed in helping their clients' financial, social and economic opportunities. The added dimension of socio-economic opportunities is often referred to as "Microfinance Plus." Turn over to find some of the initiatives by MFIN members.



Adhikar

Adhikar established a Water Plant at Balugaon in Khurda

District in Odisha. The area was characterized with excess of fluoride and arsenic content in ground water which was unfit for consumption. The water tanker established in May 2014, with installed capacity of 1000 litres per hour, provides safe drinking water for 25 paise per litre to the residents. The Plant has been built as per the specifications of TATA Technical team.

Adhikar has initiated a training programme "Dakshyata Abhiyan",

which skills young people in about 13 trades related to the industry and service sectors in Odisha. Around a 100 students have been successfully placed in companies like Vodafone, Idea, Santi motors, Serco, Tatva technologies, Muthoot etc. Adhikar also has been associated with the BOSCH foundation for vocational training called, "BRIDGE". Adhikar is also running the Adhikar ITI at Gania in Nayagarh district for school dropouts from the marginalized section of the society.

Agora

Agora Microfinance India Ltd (AMIL), is a Mumbai based, NBFC MFI incorporated in the year 2011 and operates with a mission to serve economically weaker sections in urban societies. RBI had initiated a series of measures to curb over indebtedness of clients. As part of these measures, RBI mandated submission of data to Credit Bureaus (CBs) to understand client's indebtedness. While CBs have been for a while, many clients are unaware of its importance.

In order to promote Credit Bureau (CB) awareness, AMIL

in collaboration with MFIN and IFC conducted a Training of Trainers Program with our Branch Managers (BMs). The exercise introduced the CB awareness tools to the staff and the same will be adapted to the field. The CB awareness tools (communication materials) were developed by World Bank Group and MFIN as part of a joint Credit Bureau Awareness Campaign. These collaterals were designed to enhance the clients' existing knowledge on Credit Bureaus and the importance of maintaining a strong credit/repayment history.

The session aimed at identifying client touch points specific to AMILs business model. Staff identified Marketing, Appraisals, Disbursement Process and Repayments as some of the touch points. Thereafter set of collaterals, such as Stop Motion Animation, Comics, Calendars, Banner Pen and Posters were introduced to understand usage and applicability of each in the field. The next step was where and how to use these collaterals across the client touch points. Basis an interactive session with the BMs touch points were matched with collaterals.

ESAF Microfinance

Having understood that microfinance alone will not bring desired changes in the lives of the clients, ESAF has been offering CEEP (Client Education and Empowerment Program) which includes various educational programs to raise the awareness levels of the clients as well as capacity building and skill training

programs on livelihood promotion and allied activities has been some of the CEEP activities. In the financial year 2015-16 nearly 60,000 clients were reached through Microfinance plus activities.

These activities not only help the clients to improve their standard of living but help them to take wiser decisions in their lives especially

on financial planning. Women have shown improved know-how on matters related to their health, children's nutrition, cleanliness and hygiene as well as on various livelihood related activities and the entire cycle of production, marketing and sales. Women are also getting involved in financial decision making such as asset building and financial security.

Fusion

Fire tragedy at Vidisha, Madhya Pradesh

In an unfortunate incident, six of our clients from Imaliya village at Vidisha branch in Madhya Pradesh lost their house, food, clothes and other necessary commodities to a massive fire which happened on 9th April 2016. The fire broke out in one house immediately spreading to the wide area and engulfing more than 30 houses in the vicinity. In an environment of fear and immense grief, they were hopeless as they had no place to live and nothing to eat. They took shelter in government schools, temples and tents along with their families.

Fusion has three centres in Vidisha; the branch staff visited and enquired about the well-being of our clients living there. They found that clients from other two centers were unaffected except six members of the Shani centre. The staff met those clients and could feel the pain they were going through.

Taking cognizance of the adverse situation of the suffering clients, the Company decided to support by giving them two months relaxation in repayment so that they could have some time in hand to recover. Donation of clothes and food items like wheat, sugar, cooking oil, rice etc was also undertaken. Since the Government has started re-constructing houses for them, they have summed up the courage to carry on with their lives.





Fino Paytech Ltd.

Many districts of Maharashtra have been facing continuous water scarcity for the past few years and this has manifested in the form of grievous drought this year in the month of April affecting millions of people across the state. The current availability of water is insufficient to drink and to meet the daily needs of the people. Especially in the Marathwada region the condition of drought is severe. The districts like Latur, Osmanabad, Nanded and Beed are facing a paucity of drinking water affecting humans, livestock and agriculture. Drinking water in these regions was supplied by the **Gram Panchayats (village administration)** at a

gap of minimum 15 days. After the intervention of Fino Paytech Ltd., now the **Gram Panchayats** have diverted their supply of water to other villages. So, over 2500 families across five drought hit villages in Latur and Osmanabad districts are solely served with this initiative for their daily need of drinking water. Six-eight water tankers each with a capacity of 6,000-10,000 litres are providing water to these villages for more than a month now at free of cost. Since the initiative started on May 1, 2016, we have provided more than 2 million (or 20 lacs) litres of drinking water till now and are planning to increase the daily supply of water in the nearby areas, till the arrival of monsoon.

Spandana

Spandana has been undertaking many microfinance plus activities to support its clients like providing training to the children of the clients on cycle repairing, providing livelihood development trainings to few clients, organizing voluntary blood donation camps and relief and assistance during disasters.

Fire Relief Assistance

Background: In Batapura village (Imliya) of Madhya Pradesh, one of

the farmers lit fire to the leftover agricultural output in his land. That fire spread rapidly and intensified, burning about 32 houses in the village leaving the people staying in those houses with ashes. The affected families took shelter in a Government school in the village.

The assistance provided:

Spandana rushed into action and provided relief assistance in the form of utensils, clothes and material for preparation of food.



Training on bicycle repairing for the youth: In collaboration with Abhiram Marketing Services Limited and Hero Cycles, Spandana organized a workshop on bicycle repairing for the youth in Sambalpur District of Odisha.

Ujjivan

Ujjivan initiated a community development program with a focus on small but high impact projects, such as repairing water pumps and tanks in schools, upgrading local government hospitals, paving hill tracks, rain-water harvesting, building bus stands and building and repairing school toilets. Ujjivan's community development programs are undertaken in consultation with our customers to address critical local community needs, and has resulted in the elevation of the quality of life for customers and their families. During the initial years, we also focused on upgrading government established 'Aanganwadis' (creches).

This year Ujjivan completed more than 380 projects across the country mainly focusing on toilet construction and renovation.

Diksha Financial Literacy Program

Diksha' is a five week, five-module, in-depth classroom training program created by Parinaam to give low-income families across India the knowledge and tools they need to save safely, reduce financial risks and make informed, intelligent financial decisions. The program is implemented in 18 states in India and the training is provided in 12 different languages.

As part of the program, the beneficiaries are taught simple numerical skills and how to maintain a financial record of their income and expenditure. They are made to realize the importance of savings and more importantly the need to borrow within their capacity to repay. Through the program, the beneficiaries are made aware about the different financial products and services that are available. They also gain access to a wide range of financial products such as cashless facilities, big-ticket loans, and bank accounts.

Utkarsh

Utkarsh Micro Finance Pvt. Ltd. conducts its CSR activities through Samutkarsh Welfare Services, a section 25 Company.

In order to create financial awareness in rural and semi-urban area, the company has a comprehensive financial literacy

program. The program focuses on financial planning, cash-flow, savings, budgeting, banking, insurance and investment including Government initiatives like PMJDY, PM Suraksha Bima, PM Jeevan Jyoti Bima, Atal Pension Yojana & Sukanya Samriddhi Yojana. Some of the flagship programs include:

Community-based Financial Awareness Camps

In order to create financial awareness amongst households, the Company conducts village level programs. Different approaches are used to disseminate information like:

- Magic Shows
- Theatre-Model Programs
- Mahila Mandal sessions

As on 31st March, 2016 a total of 53,184 beneficiaries had been trained on financial literacy through its various projects.

Health Initiatives

Initially in 2012, the Company made a foray into health care through regular health camps at various locations. Later, it tied up with Ram Krishna Sewashram Hospital, Mirzapur and GV Meditech Group Varanasi for operating Polyclinic on Utkarsh branches. These Polyclinics are being conducted at fortnightly intervals at eight branches. The

community can access free medical consultancy and medication. In order to extend Primary Health care facility to remote locations, the Company launched Polyclinics through Mobile Van in Aug, 2015. During FY 15-16 a total of 147 Polyclinics had been conducted and 10,938 patients had benefitted from the same. The Mobile Van made 91 visits from which 14,093 patients had benefitted.

Goodwill Project

Utkarsh supports Nirmala Shishu Bhawan, a home for differently-abled

orphan girls and Nirmal Hriday, a home for abandoned elderly who are physically and mentally challenged. The company sponsors meals and daily provisions to the inmates of these homes. Utkarsh employees participate in this project through regular team visits.

The Company also organized two Blood Donation Camps during the year for the IMA Blood Bank with active participation of Utkarsh employees.



Varam Capital Private Limited

"Your Smartphone - Your New MFI!" - Varam's New Digital Mantra

Digital is the new buzz word. It has already deeply impacted media and communications and is now taking financial services by storm. Varam Capital is keen to ensure that its customers are one of the first to benefit from this new tool. With this in mind Varam Digital was conceived.

A "Varam App" that is used by all Varam staff is a good start point. This has been designed as a single unified front end that manages the entire workflow of the field force and even helps her manage her day. The organizational goal is to create paperless and cashless flow from start to end. Individual officers however track their efficiency and productivity. To top all this Varam is layering an operational risk module with the rich data that the App usage is generating. Hence along with cashless and paper-less the

entity is looking to achieve lower costs and risks as well as to create new opportunities for products and services.

Another element of digital is to substitute manual credit underwriting. This we are attempting through pilots assisted by a sophisticated psychometric assessment and credit scoring engine, which will help Varam in understanding the creditworthiness of our borrowers (individuals and groups) and provide us the ability

to up sell individual loans to our deserving customers. The algorithm driven credit scoring engine (a proprietary analytics engine of Varam) ensures that science is leveraged to make objective decisioning and also create a system that learns constantly. Use of predictive analytics will help in isolating customer patterns so that the entity can make better credit decisions and continually assess it through the lifecycle of the loan. All of this is done through the App.

A final element is digital authentication and fulfilment. Varam App comes with Aadhaar eKYC & Authentication facility that will simplify the enrolment process. The App also comes with an integrated Voice Biometric solution to facilitate easier and safer customer transactions. The solution will enable mobile wallets, UPI/ Aadhaar based payments and also solutions that leverage on the existing infrastructure like retail outlets thus enabling clients to transact seamlessly and cashless-ly.

Digital Varam intends to unearth entrepreneurs, nurture their growth and grow with them!

FINCARE

FINCARE is a base of pyramid financial services platform operating in seven states across South and West India. The microfinance activities of the platform touch nearly 10 lakh low-income households in rural and semi-

urban geographies with a vision to facilitating financial, social and human progress.

FINCARE consistently reaches out to the larger community in its areas of operations through diversified welfare initiatives. Our Social Welfare philosophy is integral to our business operations. In fy'16 alone, FINCARE has organized Eye Camps, Ortho Camps, General Health Checkup Camps, Tree Plantation Drives, Sanitation and Environment Protection Camps conducted, benefitting 70,000 people.

1900+ Cataract Operations...facilitating a Lifetime of Productivity and Progress!

One of the main focus areas for FINCARE'S Social Well-being initiatives in fy'16 has been eye-care. With this objective, FINCARE tied up with leading hospital brands such as Vasana Eye Care, R. L. Jalappa Hospital and Research Centre, Dr. Agarwal Eye Hospitals and also neighborhood government hospitals and organized cataract screening camps.

Through 125 camps, FINCARE enabled cataract screening for 1900+ beneficiaries thus facilitating progress towards a lifetime of productivity and independence.

Ortho Camps...Bone Health for Better Life!

Based on customer/community

feedback, FINCARE also organized ortho camps in select locations in Tamil Nadu, wherein free consultation for orthopaedic problems such as neck and back pain, osteoarthritis, rheumatoid arthritis etc. was carried out. Organized in partnership with Sri Chellappa multi-Specialty Hospital (Salem) and Nathan Super Specialty Hospital (Salem), the 11 free ortho camps led to identification and addressing of orthopedic problems for over 40 beneficiaries through surgery and post-op support.

Planting Trees of Progress!

Fruit trees are truly trees of life... and progress. FINCARE firmly believes in the cause of planting fruit trees as these come with the unique advantages of adding to the nutrition needs of daily life and being instrumental in enhancing income generation capabilities of base of pyramid households. A cause worthy of action! FINCARE carried out fruit-tree plantation drives across multiple locations and 5400+ fruit plant saplings were distributed to base of pyramid families along with training being imparted on long-term caring of these saplings. In addition to these specific activities, FINCARE organized over 73 general health check-up camps, 18 environment and sanitation camps, two dental camps and two heart-health camps benefitting 67000+ base of pyramid families in fy'16. Overall, Social Welfare initiatives organized by FINCARE have benefitted over 1.69 lac households till date.

mfin Financials





V. NAGARAJAN & CO.,

Chartered Accountants

**INDEPENDENT AUDITORS' REPORT
TO THE GOVERNING BOARD OF
MICRO FINANCE INSTITUTIONS NETWORK [MFIN]**
(A Society registered under Andhra Pradesh Societies Registration Act, 2001)

We have audited the accompanying financial statements of 'Micro Finance Institutions Network [MFIN]' (herein after 'the Society') which comprise the Balance Sheet as at March 31, 2016, Income and Expenditure account and Cash flow statements for the year ended, and a summary of significant accounting policies and other explanatory information.

Management Responsibility for the Financial Statements:

Management is responsible for the preparation of these financial statements in accordance with Andhra Pradesh Society Registration Act. This responsibility includes the design, implementation and maintenance of internal control relevant to the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility:

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with the Standards on Auditing issued by the Institute of Chartered Accountants of India [ICAI]. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

In making those risk assessments, the auditor considers internal control relevant to the Society's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of the accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the accounts, the financial statement give a true and fair view in conformity with the accounting principles generally accepted in India:

- i. In the case of the Balance Sheet, of the state of affairs of the Society as at March 31, 2016
- ii. In the case of the Income and Expenditure account, of the excess of Income over Expenditure for the year ended on that date and;
- iii. In the case of Cash Flow Statement, Cash flows Statements of the Society for the year ended on that date.

*for V. NAGARAJAN & CO.,
Chartered Accountants*

Gurgaon, June 13th, 2016



(V. NAGARAJAN)
Partner

MICRO FINANCE INSTITUTIONS NETWORK [MFIN]



Audited Financial Statements

		Amount in ₹	
Balance Sheet as at		31-Mar-16	31-Mar-15
Note No.			
I. SOURCES OF FUNDS			
Corpus Fund - General	1	3,00,00,000	2,08,23,240
Corpus Fund - SRO	2	3,50,00,000	3,00,00,000
Reserves and surplus	3	1,48,58,172	2,40,17,289
Total		7,98,58,174	7,48,40,529
II. APPLICATION OF FUNDS			
Fixed assets	4		
Gross block		33,22,575	45,88,005
Less: Accumulated depreciation		15,13,468	20,92,437
Net block		18,09,107	24,95,568
Investments (at Cost)	5	7,30,71,269	1,04,52,002
Current assets, loans and advances			
a) Cash and bank balances	6	53,99,230	6,85,61,129
b) Loans and advances	7	34,34,660	20,81,436
Total [A]		88,33,889	7,06,42,565
Less: Current liabilities and provisions	8	38,56,091	87,49,606
Total [B]		38,56,091	87,49,606
Net Current assets [A-B]		49,77,798	6,18,92,959
Total		7,98,58,174	7,48,40,529
Segment Wise Expenditure	12		
Significant Accounting Polices and Notes on Accounts	13		

The accompanying notes referred to above form an integral part of these financial statements.

As per our report of even date
for **V. NAGARAJAN & Co.,**
Chartered Accountants



(V. NAGARAJAN)
Partner

ICAI Firm Regn No: 04879 N / M. No.: 019959

for and on behalf of Board Members of
**MICRO FINANCE INSTITUTIONS
NETWORK**

Manoj Kumar Nambiar
(President)

Ratna D Viswanathan
(Chief Executive Officer)

R. Baskar Babu
(Vice President)

June 13th, 2016 | Gurgaon

Audited financial statements for the year ended march 31, 2016

MICRO FINANCE INSTITUTIONS NETWORK [MFIN]

Audited Financial Statements

	Amount in ₹	
Income and Expenditure Account	For the Year Ended March 31, 2016	For the Year Ended March 31, 2015
	Note	
REVENUE		
Initial subscription fees	9,09,000	8,08,000
Annual subscription fees <i>(includes TDS: Rs. 1,39,140/-)</i>	6,63,24,589	5,03,41,613
Initial Associate subscription fees	3,57,000	3,06,000
Annual Associate subscription fees	44,75,000	31,75,000
Membership renewal fees	-	3,20,000
	7,20,65,589	5,49,50,613
Other income		
Income from Investments in Fixed Deposit's	27,14,101	52,19,856
<i>(TDS: Rs. 2,71,410/- Previous year Rs. 5,21,986/-)</i>	17,75,626	8,95,981
Total	7,65,55,316	6,10,66,450
EXPENDITURE		
Human Resource cost	9 3,09,46,925	2,36,06,498
Professional & Consulting Fees	10 97,36,138	86,26,256
Travel & Conveyance expenses	96,73,642	57,74,473
Advocacy & Communication charges	62,64,287	87,54,231
Conference, Board Meeting etc..	78,27,560	49,38,516
Administrative expenses	11 56,52,947	56,77,303
Depreciation on fixed assets	4 5,36,174	6,81,057
Total	7,06,37,673	5,80,58,334
Net Surplus before Provision for Income Tax	59,17,644	30,08,116
Less: Provision for Income Tax		
Current Year Income Tax	9,00,000	16,50,000
Net Surplus	50,17,644	13,58,116
APPROPRIATION:		
Transfer to corpus fund	-	-
Surplus transferred to Reserve and Surplus	50,17,644	13,58,116
Segment Wise Expenditure	12	
Significant accounting policies and Notes on accounts	13	

The accompanying notes referred to above form an integral part of these financial statements.

As per our report of even date
for **V. NAGARAJAN & Co.,**
Chartered Accountants



(V. NAGARAJAN)
Partner

ICAI Firm Regn No: 04879 N / M. No.: 019959

June 13th, 2016 | Gurgaon

for and on behalf of Board Members of
MICRO FINANCE INSTITUTIONS NETWORK

Manoj Kumar Nambiar
(President)

Ratna D Viswanathan
(Chief Executive Officer)

R. Baskar Babu
(Vice President)

Audited Financial Statements for the year ended march 31, 2016

MICRO FINANCE INSTITUTIONS NETWORK [MFIN]

Notes to Audited Financial Statements	Amount in ₹	
	For the Year Ended March 31, 2016	For the Year Ended March 31, 2015
NOTE 1: CORPUS FUND - GENERAL		
Opening balance	2,08,23,240	5,08,23,240
Less: Transfer to SRO Fund	-	(3,00,00,000)
Add: Additions to the Fund	91,76,760	
Closing Balance	3,00,00,000	2,08,23,240
NOTE 2: CORPUS FUND - SRO		
Opening balance	3,00,00,000	-
Additions during the year	50,00,000	3,00,00,000
Closing Balance	3,50,00,000	3,00,00,000
NOTE 3: RESERVES AND SURPLUS		
Income and Expenditure Account		
Opening balance	2,40,17,289	2,26,59,172
Add: Surplus transferred from Income & Expenditure A/c	50,17,644	13,58,116
Total	2,90,34,932	2,40,17,289
Less: Transfer to Corpus Funds	1,41,76,760	-
Total	1,48,58,172	2,40,17,289
NOTE 5: INVESTMENTS		
Investments:		
in HDFC Mutual Fund including dividend accrued *	7,30,71,269	1,04,52,002
	7,30,71,269	1,04,52,002
* Valued at cost or market value whichever is less.		
NOTE 6: CASH AND BANK BALANCES		
Cash In Hand		
Balance with Scheduled banks		
- HDFC Bank	32,28,289	38,769
Fixed Deposits with HDFC Bank	21,65,711	6,60,00,000
Add: Interest accrued on fixed deposits	5,230	25,22,360
Total	53,99,230	6,85,61,129



Audited Financial Statements for the year ended March 31, 2016

MICRO FINANCE INSTITUTIONS NETWORK [MFIN]

Notes to Audited Financial Statements as at March 31, 2016

NOTE 4: FIXED ASSETS

Name of Assets	GROSS BLOCK			DEPRECIATION			NET BLOCK	
	As on April 01, 2015	Additions	Deductions	As on March 31, 2016	For the Year	Ded./Adj. during the Year	As on March 31, 2016	As on March 31, 2015
A. Tangible assets								
Furniture and Fixtures	19,23,206	1,03,980	-	20,27,186	2,62,783	-	7,90,683	13,95,306
Computers	9,37,425	2,44,470	83,045	10,98,850	2,20,234	22,985	6,52,976	4,81,698
Office Equipment	70,303	62,579	-	1,32,882	14,197	-	26,555	57,945
Vehicle	16,09,293	-	16,09,293	-	35,683	10,92,158	-	5,52,819
TOTAL [A]	45,40,227	4,11,029	16,92,338	32,58,918	5,32,897	11,15,143	14,70,214	24,87,768
B. Intangible assets								
Software [B]	47,778	15,879	-	63,657	3,277	-	43,254	7,802
TOTAL [A+B]	45,88,005	4,26,908	16,92,338	33,22,575	5,36,174	11,15,143	15,13,468	24,95,570
Previous Year	31,76,196	19,26,780	5,14,971	45,88,005	6,81,057	2,76,394	20,92,437	14,88,424

As per our report of even date
for **V. NAGARAJAN & Co.,**
Chartered Accountants



(V. NAGARAJAN)

Partner

ICAI Firm Regn No: 04879 N / M. No.: 019959

June 13th, 2016 | Gurgaon

Manoj Kumar Nambiar
(President)

Ratna D Viswanathan
(Chief Executive Officer)

R. Baskar Babu
(Vice President)

for and on behalf of Board Members of
MICRO FINANCE INSTITUTIONS NETWORK

Audited Financial Statements for the year ended March 31, 2016

	Amount in ₹	
Notes to Audited Financial Statements	For the Year Ended March 31, 2016	For the Year Ended March 31, 2015
NOTE 7: LOANS AND ADVANCES		
Income Tax Recoverable	6,21,374	7,32,216
Security deposit against Rent	3,72,060	4,11,060
Prepaid expenses	4,01,187	3,77,990
Advance to vendors / employees	87,759	10,170
Annual subscriptions receivable	10,52,280	50,000
Annual subscriptions receivable (Associate Fees)	9,00,000	5,00,000
Total	34,34,660	20,81,436
NOTE 8: CURRENT LIABILITIES AND PROVISIONS		
A. Current Liabilities		
Trade Payable	12,67,450	48,77,350
Tax Deduction at sources Payables	7,87,750	4,67,663
Service Tax Payables	3,08,258	3,08,258
Other Payables	10,94,130	24,80,897
Total [A]	34,57,588	81,34,167
B. Provisions		
Provision for Tax (Net of Advance Tax):	3,98,503	6,15,439
Total [B]	3,98,503	6,15,439
Total [A+B]	38,56,091	87,49,606
NOTE 9: HUMAN RESOURCE COST		
Salaries, Bonus and Allowance to employees	2,93,73,261	2,18,53,917
Provision for leave encashment	1,61,211	3,90,214
Gratuity	5,69,700	7,13,138
Insurance reimbursement	2,24,897	3,16,935
HR Studies / Employee Training expenses	6,17,856	3,32,294
Total	3,09,46,925	2,36,06,498
NOTE 10: PROFESSIONAL / CONSULTING FEES		
Consultancy Fees to facilitators	13,22,784	38,40,000
Professional charges Special projects	58,77,110	33,74,104
Accounting services Charges	13,07,529	7,24,725
Professional charges- Governance	10,10,000	-
Professional charges- others	1,18,715	6,87,427
Legal Expense	1,00,000	-
Total	97,36,138	86,26,256



Audited Financial Statements for the year ended March 31, 2016

Amount in ₹

Notes to Audited Financial Statements	For the Year Ended March 31, 2016	For the Year Ended March 31, 2015
NOTE 11: ADMINISTRATIVE EXPENSES		
Office Rent	17,27,882	17,47,528
Annual Report / Other Publications	8,67,952	12,20,464
Communication Expenses	11,95,407	7,82,351
General Office Expenses	2,70,589	4,52,597
Repairs and maintenance	3,81,368	4,53,830
Miscellaneous Expenses	4,39,957	3,78,268
Office maintenance	4,48,158	3,08,571
Statutory Audit Fee	2,30,000	1,57,304
Membership fee	91,634	37,064
Commission on rent	-	1,39,326
Total	56,52,947	56,77,303

As per our report of even date
for **V. NAGARAJAN & Co.,**
Chartered Accountants



(V. NAGARAJAN)

Partner

ICAI Firm Regn No: 04879 N / M. No.: 019959

for and on behalf of Board Members of
MICRO FINANCE INSTITUTIONS NETWORK

Manoj Kumar Nambiar
(President)

Ratna D Viswanathan
(Chief Executive Officer)

R. Baskar Babu
(Vice President)

June 13th, 2016 | Gurgaon

Audited Financial Statements for the year ended March 31, 2016

MICRO FINANCE INSTITUTIONS NETWORK [MFIN]

Notes to Audited Financials Statement for the year ended March 31, 2016

Note: 12: Segment Wise Expenditures for the year ended March 31, 2016

Based on the analysis of the Society's activity model and considering the management structure, financial reporting and on consideration of the differential risk and return of segments, the management has classified its operations into the following operating and reportable segments viz, (a) Self Regulatory Organization (SRO) (b) Advocacy / Development (c) Communication (d) State Chapters (e) Office Establishment / Admin.

						Amount in ₹
Description	Self Regulatory Organization (SRO)	Advocacy / Development	Communication	State Chapters	Office Establishment / Admin	Total 31-03-2016
EXPENDITURE						
Human Resource Expenditure						
Salaries, Bonus and Allowance to employees	45,98,096	92,67,150	16,34,121	74,45,397	64,28,496	2,93,73,260
Provision for leave encashment & Gratuity	38,000	6,00,733	7,111	55,067	30,000	7,30,911
Insurance reimbursement	44,979	59,973	14,993	74,966	29,986	2,24,897
HR Studies / Employee Training expenses	1,05,026	5,12,830	-	-	-	6,17,856
Travel and Conveyance Expenditure						
Boarding Expenses	5,58,096	13,16,865	74,208	14,26,940	11,84,714	45,60,823
Lodging Expenses	1,42,143	18,16,071	2,408	7,63,688	19,320	27,43,630
Local Conveyance (car rental)	2,11,190	6,23,749	33,960	12,60,496	2,39,794	23,69,189
Professional Fee						
Professional Fees - Project	29,87,332	28,89,778	-	-	-	58,77,110
Professional Fees - Admin	-	-	-	-	12,96,937	12,96,937
Professional Fees - Others	4,008	6,584	-	-	1,18,715	1,29,306
Consultancy Fees (Governance)	5,00,000	-	-	-	5,10,000	10,10,000
Consultancy Fees	-	60,000	-	12,62,784	-	13,22,784
Lawyers Fees	-	-	-	-	1,00,000	1,00,000
Media Expense	-	-	62,64,287	-	-	62,64,287
Conference, Board Meeting etc.						
Board Meeting Exp	-	-	-	-	4,97,085	4,97,085
Annual General Meeting Exp.	-	-	-	-	8,11,874	8,11,874
Extra General Body Meeting Exp	-	-	-	-	-	-
State Chapters Meeting / Workshop Exp.	-	-	-	13,57,279	-	13,57,279
SRO Committee Workshop Exp.	1,97,716	-	-	-	-	1,97,716
Other Conference & Workshop Exp.	1,73,043	47,90,563	-	-	-	49,63,606
Administration Exp and Others						
Office Rent	-	-	-	-	17,27,882	17,27,882
Annual Report / Other Publications	-	-	-	-	8,67,952	8,67,952
Communication Expenses	-	-	-	-	11,95,407	11,95,407
General Office Expenses	-	-	-	-	2,70,589	2,70,589
Repairs and maintenance	-	-	-	-	3,81,368	3,81,368
Miscellaneous Expenses	-	-	-	-	4,39,957	4,39,957
Office maintenance	-	-	-	-	4,48,158	4,48,158
Statutory Audit Fee	-	-	-	-	2,30,000	2,30,000
Membership fee	-	-	-	-	91,634	91,634
Depreciation on fixed assets	-	-	-	-	5,36,174	5,36,174
Total	95,59,629	2,19,44,296	80,31,088	1,36,46,616	1,74,56,042	7,06,37,671

Note*

(a) Income / Fixed Assets used in the Society activities or liabilities contracted have not been identified to any of the reportable segments, as the fixed assets and services are used interchangeably between segments. Accordingly, no disclosure relating to segment income, assets and liabilities are made.

(b) Administration includes travel boarding and lodging expenses related to Governing board meeting of Rs. 34,77,462/-

As per our report of even date
for **V. NAGARAJAN & Co.,**
Chartered Accountants

(V. NAGARAJAN)
Partner

ICAI Firm Regn No: 04879 N / M. No: 019959

June 13th, 2016 | Gurgaon



for and on behalf of Board Members of
**MICRO FINANCE INSTITUTIONS
NETWORK**

Manoj Kumar Nambiar
(President)

Ratna D Viswanathan
(Chief Executive Officer)

R. Baskar Babu
(Vice President)

Audited Financial Statements for the year ended march 31, 2016

MICRO FINANCE INSTITUTIONS NETWORK [MFIN]



		Amount in ₹	
Groupings to Audited Financial Statements		For the Year Ended	For the Year Ended
S. No.	Description	March 31, 2016	March 31, 2015
G-1	Bank accounts		
	HDFC Bank A/c- Gurgaon	31,98,552	13,663
	HDFC Bank A/c- Hyderabad	29,736	25,106
		32,28,289	38,769
G-2	Investment:		
	Fixed Deposits:		
	HDFC Bank - Gurgaon	-	6,45,00,000
	HDFC Bank - HYD	21,65,711	15,00,000
	Accured Interest on FD's - HYD	5,230	5,66,547
	Accured Interest on FD's - Gurgaon	-	19,55,813
		21,70,941	6,85,22,360
	Mutual Funds:		
	HDFC-CMF-Treasury Adv- Retail- Growth	3,20,24,348	-
	HDFC Short Term Plan Growth	2,96,84,628	-
	HDFC Floating Rate IF- St- WS-Growth	90,00,000	90,00,000
	Accured Interest on HDFC Floating Rate- St-WS- Growth	23,62,292	14,52,002
		7,30,71,269	1,04,52,002
		7,52,42,210	7,89,74,362
G-3	Trade Payable		
	Perfect Relations Pvt. Ltd.	73,150	-
	Athenosoft Consulting Pvt. Ltd.	5,20,544	-
	Soumyadeep Paul	3,38,569	-
	Red Flag Oversight Consultancy Services	1,88,524	-
	Knowlarity Communication Pvt. Ltd.	1,46,663	-
	International Finance Corporation	-	31,29,540
	Equifax Credit Information Services Pvt. Ltd.	-	1,02,360
	Time Conference Ltd.	-	7,72,520
	ACCION Technical Advisors India	-	2,63,930
	South Asian Microfinance Network	-	6,09,000
		12,67,450	48,77,350
G-4	Other Payables		
	Corporate Flyers Pvt. Ltd.	45,692	5,31,954
	Expense Payable	2,22,525	2,47,536
	Provision for Gratuity and Leave Encashment	2,24,720	11,03,352
	Provision for General Expenditure	(3,472)	2,00,000
	Jayanta Talapatra	-	1,17,000
	Spearhead Corporate Services Pvt. Ltd.	-	1,02,360
	SGC Service Pvt. Ltd.	-	51,180
	Mrinal Pant	-	49,800
	ESAF Microfinance & Investment (p) Ltd.	-	13,873
	Tammala Mahender	-	13,500
	Telephone Charges - Airtel	11,267	6,170
	Door Sabha Nigam Limited	1,981	3,114
	UPMA- Micro Finance Association of Uttar Pradesh	7,550	-
	Ankush Enterprises	32,667	-
	D D Enterprises	760	-
	Wealth Tree Advisors Pvt Ltd.	1,30,625	-
	Caspor Micro Credit (Travel Reimb.)	46,394	-
	Chaitanya (Travel Reimb.)	4,938	-
	Equitoria Travel	52,000	-
	Harihar Acharya	31,375	-
	Policy Review & Monitoring Dept.	24,700	-
	Millennium Plaza Ltd. Maintenance a/c	6,417	-
	Advance from SIDBI (for SAMN Conference)	1,63,800	-
	Other payables	-	1,582
	Total - A	10,03,939	24,41,421



Audited Financial Statement for the year ended March 31, 2016

MICRO FINANCE INSTITUTIONS NETWORK [MFIN]

		Amount in ₹	
Groupings to Audited Financial Statements		For the Year Ended	For the Year Ended
S. No.	Description	March 31, 2016	March 31, 2015
	Payable to Employees against Expenses Claim		
	Praveen Kumar	70,578	12,371
	Ratna D Vishwanathan	17,381	-
	Achla Savyasaachi	2,232	-
	Amit Mathur	-	2,755
	Suyog Pradhan	-	24,350
	<i>Total - B</i>	90,191	39,476
	Grand Total (A+B)	10,94,130	24,80,897
G-5	Security deposit:		
	against rent:-		
	Rajan Sood, Shushant Lok, Gurgaon	1,86,030	1,86,030
	Sunita Sood, Shushant Lok, Gurgaon	1,86,030	1,86,030
	Regus Business Centre Plaza Pvt.Ltd., Chennai	-	36,000
	against telephone:-	-	3,000
		3,72,060	4,11,060
G-6	Advance Given to Vendors:-		
	Bajaj Axa General Insurance Co. Ltd.	7,228	10,170
	SGC Services Pvt. Ltd.	9,285	-
	Tata Teleservices Ltd.	791	-
	Palms Town & Country Club	6,823	-
	Mono Orion Foods India Pvt. Ltd.	55,000	-
	Rohini Harish	2,876	-
	Nikhil Chandra Srivastava	5,756	-
		87,759	10,170
G-7	Membership Renewal fee receivable		
		-	-
		-	-
G-8	Annual subscriptions receivable from Members / Associates		
	Shikhar Microfinance Pvt. Ltd.	-	50,000
	Share MicroFin. Ltd. - (Associate)	-	5,00,000
	Spandana Spurthy Finance Ltd.	10,52,280	-
	MAS Financial Services Ltd (Associate)	2,00,000	-
	Credit Information Bureau (India) Ltd (Associate)	2,00,000	-
	The Ratnakar Bank Ltd (Associate)	5,00,000	-
		19,52,280	5,50,000
G-9	Income from Investments:		
	Interest accrued on Fixed Deposits with Bank	27,14,101	52,19,856
	Dividend accrued on mutual funds	17,75,626	8,95,981
		44,89,727	61,15,837



Audited Financial Statement for the year ended March 31, 2016

MICRO FINANCE INSTITUTIONS NETWORK [MFIN]



		Amount in ₹	
Groupings to Audited Financial Statements		For the Year Ended	For the Year Ended
S. No.	Description	March 31, 2016	March 31, 2015
G-10 Salary, Bonus and Allowance to employees:			
	Mr. Alok Prasad	25,00,000	70,00,000
	Ms. Ratna D Vishwanathan	52,15,000	40,00,000
	Ms Sugandh Saxena	32,68,987	27,01,863
	Ms. Pallavi Sen	21,16,971	17,55,600
	Mr. Praveen Kumar	15,31,121	12,70,395
	Mr. Karthikeyan S	15,61,500	11,35,162
	Mr. Nikhil Chandra Srivastava	16,51,390	10,88,910
	Ms Rohini Harish	12,13,497	9,56,560
	Mr. Jatinder Handoo	15,11,633	6,06,666
	Ms. Vaishali Mishra	16,34,121	5,74,998
	Mr. Habib Shaik	10,60,797	3,92,903
	Mr. Suyog Pradhan	15,98,103	3,30,000
	Mr. Amit Mathur	9,50,004	40,860
	Ms. Achla Savyasaachi	22,50,000	-
	Mr. Minal Pant	9,74,997	-
	Ms. Devika Misra	3,35,140	-
		2,93,73,261	2,18,53,917
G-11 Communication Expenses :-			
	Courier Charges	3,34,514	2,45,261
	Internet Charges	96,313	81,612
	Mobile Reim. Expenses	2,65,288	2,47,143
	Telephone & Conference Call Expenses	2,48,407	2,08,335
	Telephone Helpline (Tollfree) Services	2,50,885	-
		11,95,407	7,82,351
G-12 Office Running & maintenance expenses :-			
	Office Repair & Maintenance	3,81,368	3,80,711
	Car Maintenance	-	73,119
		3,81,368	4,53,830
G-13 Office Expenses :-			
	General Office Exp.	2,70,589	4,52,597
	IT Equipment AMC & Repair Expenses	1,60,984	56,687
	Electricity Expense	94,138	67,311
	Insurance - Vehicle	17,154	42,757
	Office Maintenance	1,65,006	1,34,832
	Insurance -Travelling	10,876	6,984
		4,48,158	3,08,571



Audited Financial Statement for the year ended March 31, 2016

MICRO FINANCE INSTITUTIONS NETWORK [MFIN]



		Amount in ₹	
Groupings to Audited Financial Statements		For the Year Ended March 31, 2016	For the Year Ended March 31, 2015
S. No.	Description		
G-14	Consultancy Fees to Facilitators :- A	13,22,784	38,40,000
G-15	Professional Charges for Special Project Studies : B		
	Equifax Credit Information Services Pvt. Ltd. - Industry Report	2,51,900	5,22,474
	Equifax Credit Information Services Pvt. Ltd. - Credit Bureau	2,50,800	-
	Prime M2I Consulting Pvt. Ltd.	-	5,21,603
	Institutions for Financial Management & Research - Surveillance	1,69,787	5,09,363
	Micro Save Pvt. Ltd.	-	5,02,856
	TSJ Media Pvt. Ltd. - (Other Meeting)	4,56,000	3,37,080
	Dun & Bradstreet Information Services - (Other Meeting)	1,14,000	-
	ACCION Technical Advisors India - Information Hub	3,42,000	2,89,714
	Amber System Pvt. Ltd. - Information Hub	1,93,142	2,24,720
	Qadit Systems & Solutions Pvt. Ltd.	-	1,91,012
	Design Route	-	1,85,394
	Computer Ware (India) Pvt. Ltd.	-	89,888
	Samita Affinwalla - Learning & Other Workshop	1,71,000	-
	Aon Services India Pvt. Ltd. - Learning & Other Workshop	6,29,750	-
	Red Flag Oversight Consultancy Services - Other Evaluation	2,75,420	-
	Micro - Credit Rating International Ltd. - Other Evaluation	70,838	-
	Dr. Samita Premchander - Studies & Research	24,35,120	-
	Crif High Mark Credit Information Services - Studies & Research	36,167	-
	Vyaktitva	4,00,750	-
	Deloitte Touche Tohmatsu India Pvt. Ltd.	80,436	-
		58,77,110	33,74,104
	Accounting Services Charges:- C	13,07,529	7,24,725
	Other Legal / Professional Charges D		
	Sudhin Roy Chowdhary	-	3,37,080
	V. Nagarajana & Co. [Income Tax & Other Services]	36,496	2,09,897
	Sharma Goel & Company	-	28,090
	Spearhead Corporation Services Pvt. Ltd.	-	1,12,360
	Dev Net Job India - Surveillance	4,008	-
	Dev Net Job India - Special Seep	2,576	-
	Dev Net Job India - Mis & A&D	4,008	-
	Prekshit Mehta & Co.	65,627	-
	Tarun Kalra & Co.	6,000	-
	V. Nagarajan & Co. [Audit Fees]	2,30,000	1,57,304
	Legal Expense	1,00,000	-
		1,18,715	6,87,427
	Professional Charges (Governance) E		
	Professional Fee (AGM)	1,80,000	-
	Professional Fee (BM)	1,80,000	-
	Professional Fee (Other Committee Meeting)	1,50,000	-
	Professional Fee (SROC)	1,90,000	-
	Professional Fee (EC)	3,10,000	-
		10,10,000	-
	Total (A+B+C+D+E)	96,36,138	86,26,256



Audited Financial Statement for the year ended March 31, 2016

MICRO FINANCE INSTITUTIONS NETWORK [MFIN]



		Amount in ₹	
Groupings to Audited Financial Statements		For the Year Ended	For the Year Ended
S. No.	Description	March 31, 2016	March 31, 2015
G-16 Rent Expenses :-			
	Rent - Gurgaon	16,92,962	16,26,181
	Rent - Chennai	34,920	1,21,347
		17,27,882	17,47,528
G-17 Miscellaneous Exp:			
	Old / Discarded Assets Written off	-	2,28,493
	Accounting & Administration [Office Use]	2,04,408	1,28,809
	Bank & Forex / Exch Charges	1,72,597	10,493
	Intt. On TDS & Income Tax	57,712	6,113
	Book & Periodicals	5,240	4,360
		4,39,957	3,78,268
G-18 Advocacy & Communication charges			
	Perfect Relations Pvt. Ltd. - PR Agency	40,74,585	24,71,920
	New Concept Information Systems Pvt. Ltd. - Publication & Pri	2,68,205	-
	Soumyadeep Paul - Short Films	7,43,478	-
	Glocaledge Consultants Pvt. Ltd. - Website Charges	4,14,935	-
	Athenosoft Consulting Pvt. Ltd. - Website Charges	2,33,000	-
	Athenosoft Consulting Pvt. Ltd. - Media Workshop	4,00,000	-
	Glocaledge Consultants Pvt. Ltd. - Media Workshop	10,047	-
	Shivam Sundram - Media Workshop	15,800	-
	Dhadhis Offices Solutons (P) Ltd. - Media Workshop	32,595	-
	Corporate Flyers Pvt. Ltd. - Media Workshop	26,642	-
	Sudarshan Chhotaray	45,000	-
	Times Conference Ltd.	-	10,11,240
	Computer Ware (India) Pvt. Ltd.	-	8,98,880
	Blue Lotus Communicaitons Pvt. Ltd.	-	5,28,092
	Blue Bytes News Pvt. Ltd.	-	1,12,360
	Xenta Qsys Technologies Pvt. Ltd.	-	47,191
	International Finance Corporation (IFC)	-	36,52,694
	Kyrosoft Technologies	-	31,854
		62,64,287	87,54,231
G-19 Travel and Conveyance Expenses			
	Boarding Expenses	45,60,823	43,61,645
	Lodging Expenses	27,43,630	10,80,456
	Local Conveyance (Cab charges)	23,69,189	2,70,868
	Car running Expenses	-	61,504
		96,73,642	57,74,473
G-20 Conference, Board Meeting etc..			
	AGM / EGM Expenses	8,11,874	5,76,060
	Board Meeting Expenses	4,97,085	12,04,424
	State Chapters Meeting / Workshop Exp.	13,57,279	86,930
	SRO Committee Workshop Exp.	3,70,759	9,82,875
	Other Conference & Workshop Exp.	47,90,563	20,88,227
	<i>(Times Conferences Ltd, SAMN and Other Conferenes, Retreat)</i>		
		78,27,560	49,38,516

for and on behalf of Board Members of
MICRO FINANCE INSTITUTIONS NETWORK

June 13th, 2016 | Gurgaon



Audited Financial Statement for the year ended March 31, 2016

Notes to Audited Financial Statements for the year ended March 31, 2016

NOTE 13: Significant Accounting Policies and Notes on Accounts for the year ended March 31st, 2016

A) SIGNIFICANT ACCOUNTING POLICIES:

1) Basis of preparation of financial statements:

The Financial statements have been prepared to comply in all material respects of the accounting standards issued by the Institute of Chartered Accountants of India [ICAI]. The Statements have been prepared under the historical cost convention and on accrual basis, except stated otherwise. The accountings policies have been consistently applied by the society and except for the changes in accounting policy discussed more fully below, and are consistent with those used in the previous year.

2) Use of estimates:

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities at the date of the financial statements and the results of operations during the reporting period end. Although these estimates are based upon management's best knowledge of current events and actions, actual results could differ from these estimates.

3) Cash flow reporting:

Cash flow statement has been prepared in accordance with AS-3 "Cash Flow Statement" issued by The Institute of Chartered Accountants of India (ICAI), under direct method.

4) Revenue recognition:

The main income of the society is from member's contribution and membership fee.

- 4.1 Member's annual contribution is recognized on accrual basis and as per Society's bye laws. An amount as decided by the Board of Governing members from time to time is transferred to corpus fund and balance is recognized as income for meeting operating expenses of the Society.
- 4.2 Admission fee and initial subscription are directly recognized as income of the society when they are receivable.
- 4.3 Interest income on fixed deposits with banks is recognized on the basis of proportionate lapse of time as applied to the amount outstanding and rate applicable.
- 4.4 Dividend income is recognized when the right to receive payment is established by the balance sheet date.

5) Fixed assets:

- 5.1 All fixed assets have been shown at cost less accumulated depreciation. The cost comprises of purchase price and all incidental costs related to acquisition and installation.
- 5.2 Fixed assets purchased are classified as per the nature of assets and record in the books from the date they are purchased and used for the objectives of the society.
- 5.3 Depreciation has been charged on the assets on the rates, which in the opinion of the Society would cover the normally expected period of useful life of each of the category of assets on written down value method.

6) Valuation of Investments:

- 6.1 Investments that are readily realizable and intended to be held for not more than a year are classified as current investments. All other investments are classified as long-term investments. Current investments are carried at lower of cost and fair value determined on an individual investment basis. Long-term investments are carried at cost. However, provision for diminution in value is made to recognize a decline other than temporary in the value of the investments.



Audited Financial Statements for the year ended March 31, 2016

7) Retirement and other employee benefits:

- 7.1 **Provident Fund:** Number of employees are not exceeding the limit prescribed by the law, hence provident fund contribution are not applicable to the Society.
- 7.2 **Gratuity:** Society has provided liability towards gratuity funds to their employees through funds invested with Life Insurance Corporate (LIC) and provision has been made as per their actuarial valuation.
- 7.3 **Staff Insurance:** Society provides medical insurance benefits to their employees through sum assured with the insurance companies.
- 7.4 **Leave encashment** are accounted on yearly accrual basis and are paid to employees on yearly basis.

8) Provision and contingent liabilities:

- 8.1 Society creates a provision where there is a present obligation as a result of past event that probably requires an outflow of resources and reliable estimate can be made of the amount of obligation. A disclosure of contingent liability is made, when there is a possible obligation or a present obligation that will probably not require outflow of resources or where reliable estimate of the obligation cannot be made.

B) NOTES TO ACCOUNTS:

1) NOTE ON THE ACTIVITIES OF THE SOCIETY AND MUTUALITY:

- 1.1 Micro Finance Institutions Network [MFIN] is a Society, registered on December 14, 2009 under the Society Registration Act, 2001 at Hyderabad, Andhra Pradesh.
- 1.2 The total numbers of members, mainly Non-Banking Finance Companies, as on March 31, 2015 are 52, in addition the society has 19 institutions joined as Associates.
- 1.3 The primary activities and objectives of the society are to liaise and work in unison with the relevant regulatory authorities regulating the business of microfinance, to promote microfinance and develop best practices, conduct research and training so as to strengthen the capacity of institutions engaged in microfinance, who are members of the society.
- 1.4 The society has not received any contribution by way of grant or otherwise from any person/entity other than by way of subscription/contribution from its members. The society, being a Trade Association, is operating under the "Principle of Mutuality" and as a Mutual Benefit Institution. In view of the above, the society has not sought any registration u/s 12A of the Income tax Act, 1961 and no tax liability is anticipated on account of this. However, in respect of other taxable income, appropriate provision for taxation has been made and is compliant with the provisions of law.

2) DETAILS OF HUMAN RESOURCE COST:

Particulars as on	Amount in Rs.	
	31-Mar-16	31-Mar-15
Managerial Remuneration including allowances and benefits		
Ex-Chief Executive Officer	30,00,000	70,00,000
Chief Executive Officer	52,15,000	40,00,000
Employees Cost [Others]	2,26,62,224	1,26,06,498
Total	3,08,77,224	2,36,06,948

3) DETAILS OF AUDITOR'S REMUNERATION:

Particulars as on	Amount in Rs.	
	31-Mar-16	31-Mar-15
Statutory Audit Fee	200,000	1,40,000
Applicable Service Tax	30,000	17,304
Total	2,30,000	1,57,304



4) LOANS AND ADVANCES - MEMBERSHIP RELATED:

Includes:

Receivable of Rs. 19,52,880 from their four members against annual subscription fees, in which includes Rs. 9,00,000 towards subscription fees from three Associate members and Rs. 10,52,880 towards subscription fees from one NBFC-MFI member.

5) Investment in mutual funds valued at cost Rs. 7,30,71,269, Market value Rs. 7,36,83,037, Income accruing by way of accumulation at the time of maturity / withdrawal not accounted for up to March 31, 2016 is Rs. 15,46,412.

6) Human Resource Cost includes:

- Rs. 1,60,211 being Provision for Leave encashment to employees as per the Contract with employees and;
- Rs. 7,13,038 being the provision to meet the gratuity liability to the employees as per decision of the Governing Board. The provision has been made as per the actuarial valuation provided by Life Insurance Corporation of India, to create a Trust for meeting the liabilities and to be administered by its Group Gratuity Scheme, with effect from 1.4.2015.

7) Corresponding figures of the previous year have been regrouped wherever necessary to make them comparable with the figures of the current year.

As our report of even date

for V. NAGARAJAN & Co.,

Chartered Accountants



(V. NAGARAJAN)

Partner

ICAI Firm Reg. No.: 04879 N | M. No.: 019959

*for and on Behalf of Board of Member of
Micro Finance Institutions Network*

Manoj Kumar Nambiar
(President)

Ratna D Viswanathan
(Chief Executive Officer)

R. Baskar Babu
(Vice-President)

June 13th, 2016 | Gurgaon

Audited Financial Statements for the year ended March 31, 2016

ANNEXURES



Annexure 1

Board Attendance

MFIN Board 2015-16: Attendance Record

updated: 31st May 2016

Sl no	Board member	15th July 2015, Mumbai	1st Sep 2015, concall	17th Oct 2015, Mumbai	23rd Jan 2016, Chennai	9th Apr 2016, Kolkata	7th May 2016, Gurgaon (Special meeting)	13th June 2016, Gurgaon (based on the confirmaiton received)	Attendance (%)
1	Manoj K. Nambiar	1	1	1	1	1	1	1	100%
2	R. Baskar Babu	1	1	1	1	1	1	1	100%
3	Anand Rao	1	1	1	1	1	0	1	86%
4	H. K. N. Raghavan	1	1	1	1	0	1	0	71%
5	K. Paul Thomas	1	1	1	1	0	1	1	86%
6	Devesh Sachdev*	na	na	na	1	1	1	1	100%
7	Meenal Patole*	na	na	na	1	1	1	1	100%
8	N. K. Maini	1	1	1	1	1	1	1	100%
9	Rajat Kathuria	1	1	0	0	1	0	0	43%
10	Sanjay Sinha	0	0	1	0	0	0	1	29%
11	Vinay Baijal	1	1	1	1	1	1	1	100%
12	Ratna Vishwanathan	1	1	1	1	1	0	1	86%

* Mr. Devesh Sachdev and Ms. Meenal Patole were formally inducted on the Board from 23rd Jan 2016

List of Members

Members (NBFC-MFIs)	
1	Adhikar Microfinance Pvt. Ltd.
2	Agora Microfinance India Pvt. Ltd.
3	Annapurna Microfinance Pvt. Ltd.
4	Arohan Financial Services Pvt. Ltd.
5	Asirvad Microfinance P. Ltd.
6	Belstar Investment and Finance Pvt. Ltd.
7	BSS Microfinance Pvt. Ltd.
8	Chaitanya India Fin Credit Pvt. Ltd.
9	Disha Microfin Pvt. Ltd.
10	Equitas Micro Finance Pvt. Ltd.
11	ESAF Microfinance and Investments Pvt. Ltd.
12	Future Financial Services Ltd.
13	Fusion Microfinance Pvt. Ltd.
14	Grameen Koota Financial Services Pvt. Ltd.
15	Grama Vidiyal Micro Finance Ltd.
16	Hindusthan Microfinance Pvt. Ltd.
17	IDF Financial Services Pvt. Ltd.
18	Intrepid Finance and Leasing Pvt. Ltd.
19	Jagaran Microfin Pvt. Ltd.
20	Janalakshmi Financial Services Pvt. Ltd.
21	Light Microfinance Pvt. Ltd.
22	Madura Micro Finance Ltd.
23	Margdarshak Financial Services Ltd.
24	Midland Microfin Ltd.
25	MSM Microfinance Pvt. Ltd.
26	Muthoot Microfin Ltd.
27	Namra Finance Ltd.
28	Navachetana Microfin Services Pvt. Ltd.
29	Nightingale Finvest Pvt. Ltd.
30	Nirantara FinAcces Pvt. Ltd.
31	Pahal Financial Services Pvt. Ltd.
32	RGVN (North East) Microfinance Ltd.
33	Sahyog Microfinance Ltd.
34	Saija Finance Pvt. Ltd.
35	Samasta Micro Finance Ltd.
36	Sambandh Finserv Pvt. Ltd.
37	Satin Credit Care Network Ltd
38	Share Microfin Ltd
39	Shikhar Microfinance Pvt Ltd
40	SKS Microfinance Ltd
41	Sonata Finance Pvt Ltd
42	Spandana Sphoorty Financial Ltd
43	Suryoday Micro Finance Pvt Ltd
44	SV Creditline Pvt Ltd
45	Svatntra Microfin Pvt Ltd
46	Ujjivan Financial Services Ltd
47	Unnati Microfin Pvt Ltd
48	Utkarsh Micro Finance Pvt Ltd
49	Uttrayan Financial Services Private Limited
50	Varam Capital Pvt Ltd
51	Vedika Credit Capital Ltd
52	Village Financial Services Pvt Ltd



SAMN Conclave 2016: Agenda

DAY 1 – Tuesday March 08	ACTIVITY
09:30 AM onwards	Registration & Welcome
10.30 AM - 10.45 AM	<i>MFIN Presents From Including the Excluded: Powering Responsible Finance</i>
10.45 AM - 11.00 AM	<i>A message from Nobel Laureate- Proff. Muhammad Yunus – Founder of Grameen Bank, Bangladesh for the SAMN-MFIN Conference</i>
11.00 AM - 11.30 AM	Inaugural Session: Lamp Lighting Ceremony
11.00 AM – 11.02 AM	
11.02 AM – 11.07 AM	<i>Welcome Address by Ms. Ratna Vishwanathan Chief Executive Officer, Microfinance Institutions Network</i>
11.07 AM – 11.15 AM	<i>Inaugural Address by Ms. Anjuly Chib Duggal – Secretary, Department of Financial Services, Government of India</i>
11.15 AM – 11.30 AM	<i>Key Note Address by Shri Arun Jaitley – Union Minister of Finance, Government of India Shri. Ashok Swarup – Managing Director, CITI Shri. Chandra Shekhar Ghosh – Managing Director & CEO, Bandhan Bank</i>
Coffee Break 11:30 AM – 12:00 PM	
12:00 PM – 01:00 PM	Plenary Session I: Responsible Finance – The Regulatory Framework vis-à-vis the Business of Lending Moderator: Dr. Rajat Kathuria – Director & Chief Executive, ICRIER Panelists: ● Mr. Saeed Ahmad – Deputy Governor, State Bank of Pakistan ● Ms. Kumudhini Saravanamuttu – Director, Policy Review & Monitoring, Central Bank of Sri Lanka ● Mr. U.S Paliwal – Executive Director, Reserve Bank of India ● Mr. Chandra Shekhar Ghosh – Managing Director & CEO, Bandhan Bank ● Dr. Faisal Ahmed – Senior Economic Advisor, Bangladesh Bank ● Mr. G. R. Chintala – Chief General Manager, Micro Credit Innovation Department, NABARD Q & A
01:00 PM – 01:45 PM	Plenary Session 2: Global Scenario – Financial Inclusion Ms. Ratna Sahay - Deputy Director, Monetary and Capital Markets Department, International Monetary Fund Q & A
Lunch Break 01:45 PM – 02:30 PM	Lunch Session : Innovations in Financial Capability (Open to All) Ms. Alison Fahey – Policy Manager, J-PAL & Programme Manager, Finance, Political Economy & Governance



02:30 PM – 03:30 PM	Plenary Session 3: Financial Services and Technology to Promote Resilience Moderator: Mr. Kiran Karnik – <i>Chairman, Oxfam India</i> Panelists: ● Mr. Chandula Abeywickrema – <i>Chairman, Banking with the Poor Network (BWTP)</i> ● Mr. Syed Nadeem Hussain – <i>CEO & President, Tameer Microfinance Bank Ltd.</i> ● Mr. Rajpal Duggal – <i>Group President - Corporate Strategy & Business Planning, Oxigen Services (India) Pvt. Ltd</i> ● Mr. Kabir Kumar – <i>Senior Finance Sector Specialist, CGAP</i> Q & A
03:30 PM – 04:30 PM	Plenary Session 4: Social Entrepreneurship in Financial Services: Opportunities and Challenges Moderator: Mr. Dilip Cherian – <i>Co-Founder, Perfect Relations</i> Panelists: ● Dr. Kshatrapati Shivaji – <i>Chairman & MD, SIDBI</i> ● Dr. Harihar Prasad Acharya – <i>Chief Executive Officer, Centre of Microfinance, Nepal</i> ● Mr. Nish Kotecha – <i>President, Founder & CEO, Geosansar</i> ● Ms. Ommara Raza – <i>Senior Manager, Market Research and Product Development, Kashf Foundation</i> ● Mr. Uday Shankar – <i>Country Director, Water.org</i> ● Mr. Naresh Nepal – <i>Deputy CEO, Centre for Micro Finance, Nepal</i> Q & A
Coffee Break 04:30 pm – 05:00 pm	
05:00 PM – 06:00 PM	Plenary Session 5: Financial Inclusion Approaches Moderator: Mr. Royston Braganza – <i>Chief Executive Officer, Grameen Capital</i> Panelists: ● Mr. Najibullah Samim – <i>Executive Director, Afghanistan Microfinance Association</i> ● Mr. Vishwavir Ahuja – <i>Managing Director & Chief Executive Officer – RBL Bank</i> ● Mr. Sanjay Sinha – <i>Managing Director, Micro-Credit Ratings International Limited (M-CRIL)</i> ● Mr. Abdul Matin Ezidyar – <i>Manager, PIC, MISFA</i> ● Mr. Sankalp Saini – <i>Associate Director, External Communications, Infrastructure Development Finance Company</i> ● Mr. K. V. Srinivasan – <i>Chief Executive Officer, Reliance Commercial Finance</i> Q & A



06:00 PM – 07:00 PM	Plenary Session 6: A Study on the Access to Financial Inclusion within the DRR framework in South Asian Region Moderator: Mr. Syed Nadeem Hussain – President & CEO, Tameer Microfinance Bank Ltd. Panelists: ● Ms. Sharon D'Onofrio – Executive Director, SEEP Network ● Ms. Maud Savary-Mornet – Head of Debt Financial Institution, Asia-Pacific, respons Ability ● Mr. Syed Mohsin Ahmed – Chief Executive Officer, Pakistan Microfinance Network ● Mr. Najibullah Samim – Executive Director, Afghanistan Microfinance Association (AMA) ● Mr. Vikrant Mahajan – Chief Executive Officer, Sphere India Q & A
07:30 PM – 10:30 PM	Cocktails & Dinner for Delegates and Guests
DAY 2 – Wednesday March 09	ACTIVITY
08:00 AM – 09:00 AM	Breakfast Session : Ericsson Business Model for Interoperability (By Invitation Only) Mr. Olutunmbi Idowu - Head of Compliance & Risk Control, Ericsson
09:00 AM – 10:00 AM	Registration
10:00 AM – 11:00 AM	Plenary Session 7: Self-Regulation – A Boon or Bane Moderator: Mr. Manoj Nambiar – Managing Director, Arohan Financial Services Panelists: ● Dr. K.P. Krishnan – Additional Secretary, Department of Land Resources , Ministry of Rural Development ● Mr. N.S. Vishwanathan – Executive Director, Reserve Bank of India ● Mr. Sriram Kalyanaraman – Managing Director & Chief Executive Officer , National Housing Bank ● Mr. Pankaj Jain – Jt. Secretary, Department of Financial Services, Ministry of Finance ● Mr. Ashok Malik – Senior Fellow, Observer Research Foundation ● Ms. Ratna Vishwanathan – Chief Executive Officer, Microfinance Institutions Network Q & A
Coffee Break 11:00 AM – 11:30 AM	
11:30 AM – 12:30 PM	Plenary Session 8: Credit Bureau Sponsored Session Moderator: Mr. Prakash Sundaram, Chief Strategy Officer – FINCARE Group Panelists: ● Mr. Satish Pillai – Managing Director & CEO, CIBIL ● Mr. Sunder Arumugam – Vice-President , MFI-Business Development, Equifax ● Ms. Kalpana Pandey – CEO & Managing Director, CRIF Highmark Q & A



12:30 PM – 01:30 PM	The Grand Debate: Financial Inclusion: Driving Force for Community Sustainable Development or Simply Access to Finance? Moderator: Mr. Tamal Bandhopadhyay - Consulting Editor, Live Mint Panelists: ● Mr. Baijayant Panda – Honorable, Member of Parliament ● Mr. Vijay Mahajan – Founder and CEO, BASIX Social Enterprise Group ● Mr. Rathin Roy – Director, National Institute of Public Finance and Policy ● Mr. Eric Savage – Co-Founder & CEO, Unitus Capital ● Mr. Olutunmbi Idowu – Head of Compliance & Risk Control, Ericsson ● Mr. Alok Prasad – Sector Expert
Lunch Break 01:30 PM – 02:30 PM	Lunch Session: Demystifying Outreach to the Poor in the 4 PSIG States: A Round Table Discussion to Observe Empirical Evidence and Evaluate its Application to context. (By Invitation only)
02:30 PM – 03:30 PM	Plenary Session 9: Microfinance Impact Through the Lens of Systematic Review of Qualitative and Quantitative Evidence – A DFID Initiative Moderator: Ms. Ragini Choudhry, Private Sector Advisor, DFID Panelists: ● Mr. Surendra Srivastava – DGM, PSIG – SIDBI ● Mr. Mukul Jaiswal – Managing Director, CSSHPOR ● Ms. Kalpana Pant – Board of Trustees, Chaitanya India ● Mr. Arun Kumar Gopalaswamy – Professor of Finance & Accounting, Department of Management Studies, Indian Institute of Technology Q & A
03:30 PM – 04:00 PM	Plenary Session 10: Presentation on Low Cost, Alternate Energy Products for Low Income Households ● Mr. Sateesh Kumar – Managing Director, Asia & Africa, D.Light ● Ms. Nidhi Khaitan Modi – Executive Director, RAL Consumer Products Q & A
Coffee Break 04:00 PM – 04:30 PM	
04:30 PM – 05:30 PM	Plenary Session 11: Differentiated Banks as Game Changers Moderator: Ms. Jayesh Modi, Head Financial Services Panelists: ● Mr. Rajeev Yadav – Chief Executive Officer, FINCARE Group ● Mr. K. Paul Thomas – Founder & Chairman, ESAF Microfinance ● Mr. Rahul Mallick – CEO, Retail Financial Services, Janlakshmi Financial Services ● Mr. R. Baskar Babu – Co-Founder & CEO, Suryoday Micro Finance Q & A
05:30 PM – 05:55 PM 05:30 PM – 05:45 PM 05:45 PM – 05:55 PM	Valedictory Ceremony Valedictory Address – Ms. Supriya Sule, Honorable Member of Parliament Vote of Thanks – Ms. Syed Mohsin Ahmed, CEO, PMN

Abbreviations

AGM	Annual General Meeting
AKMI	Association of Karnataka Microfinance Institutions
AP	Andhra Pradesh
APR	Annual Percentage Rate
BC	Business Correspondent
BCSBI	Banking Codes and Standards Board of India
CAB	College of Agricultural Banking
CB	Credit Bureau
CBDT	Central Board of Direct Taxes
CBEC	Central Board of Excise and Customs
CDR	Corporate Debt Restructuring
CEO	Chief Executive Officer
CFO	Chief Financial Officer
CGM	Chief General Manager
CII	Confederation of Indian Industry
CMD	Chairman and Managing Director
CoC	Code of Conduct
COO	Chief Operating Officer
Cr	Crore
CRAR	Capital to Risk-Weighted Assets Ratio
DBOD	Department of Banking Operations and Development
DFI	Development Finance Institutions
DFID	Department for International Development
DFS	Department of Financial Services
DNBS	Department of Non Banking Supervision
EC	Enforcement Committee
ED	Executive Director
FICCI	Federation of Indian Chambers of Commerce and Industry
FPC	Fair Practices Code
FY	Financial Year
GIZ	German Development Cooperation
GLP	Gross Loan Portfolio
Gol	Government of India
IBA	Indian Banks' Association
ICRIER	Indian Council for Research on International Economic Relations

IFC	International Finance Corporation
IIM	Indian Institute of Management
IRDA	Insurance Regulatory Development Authority
IT	Income Tax
JLG	Joint Liability Group
KAMFI	Kerala Association of Microfinance Institutions
LIC	Life Insurance Corporation
M-CRIL	Micro Credit Ratings International Limited
MD	Managing Director
MFI	Micro Finance Institutions
MFIN	Micro Finance Institutions Network
MFT	Microfinance Transparency
MIS	Management Information System
MIX	Microfinance Information Exchange
Mn	Million
MoF	Ministry of Finance
NABARD	National Bank for Agriculture and Rural Development
NBFC-MFI	Non Banking Finance Company - Microfinance Institutions
NCD	Non Convertible Debentures
NGO	Non Governmental Organization
NOF	Net Owned Funds
NPA	Non Performing Assets
PAR	Portfolio at Risk
PFRDA	Pension Fund Regulatory and Development Authority
PSB	Public Sector Banks
PSIG	Poorest States Inclusive Growth Programme
RBI	Reserve Bank of India
RRBs	Regional Rural Banks
SCB	Scheduled Cooperative Banks
SEBI	Securities and Exchange Board of India
SHG	Self Help Group
SIDBI	Small Industries Development Bank of India
SLBC	State Level Bankers' Committee
SPTF	Social Performance Task Force
SRO	Self-Regulatory Organization
TRAI	Telecom and Regulatory Authority of India
TSP	Technical Service Provider
UIDAI	Unique Identification Authority of India
VP	Vice President

Eco Power Systems

LEADER

EP 31 Junior
Solar Task Lamp



- 2 Brightness modes
- 40/25 Lumens
- 4/8 Hours battery back up time
- 400 mw solar panel
- 3.2 V/ 400 mAh Lithium Iron Phosphate
- Micro USB port for AC charging
- 5 years battery life

EP 31
Solar Lantern



- 3 brightness mode
- 65/35/25 Lumens
- 2.5/6/10 hours battery back up time
- 400 mw solar panel SUNPOWER® USA
- 3.2 V/ 600 mAh Lithium Iron Phosphate
- Micro USB port for AC charging
- 5 years battery life



09821854357

leader@ecopower.in

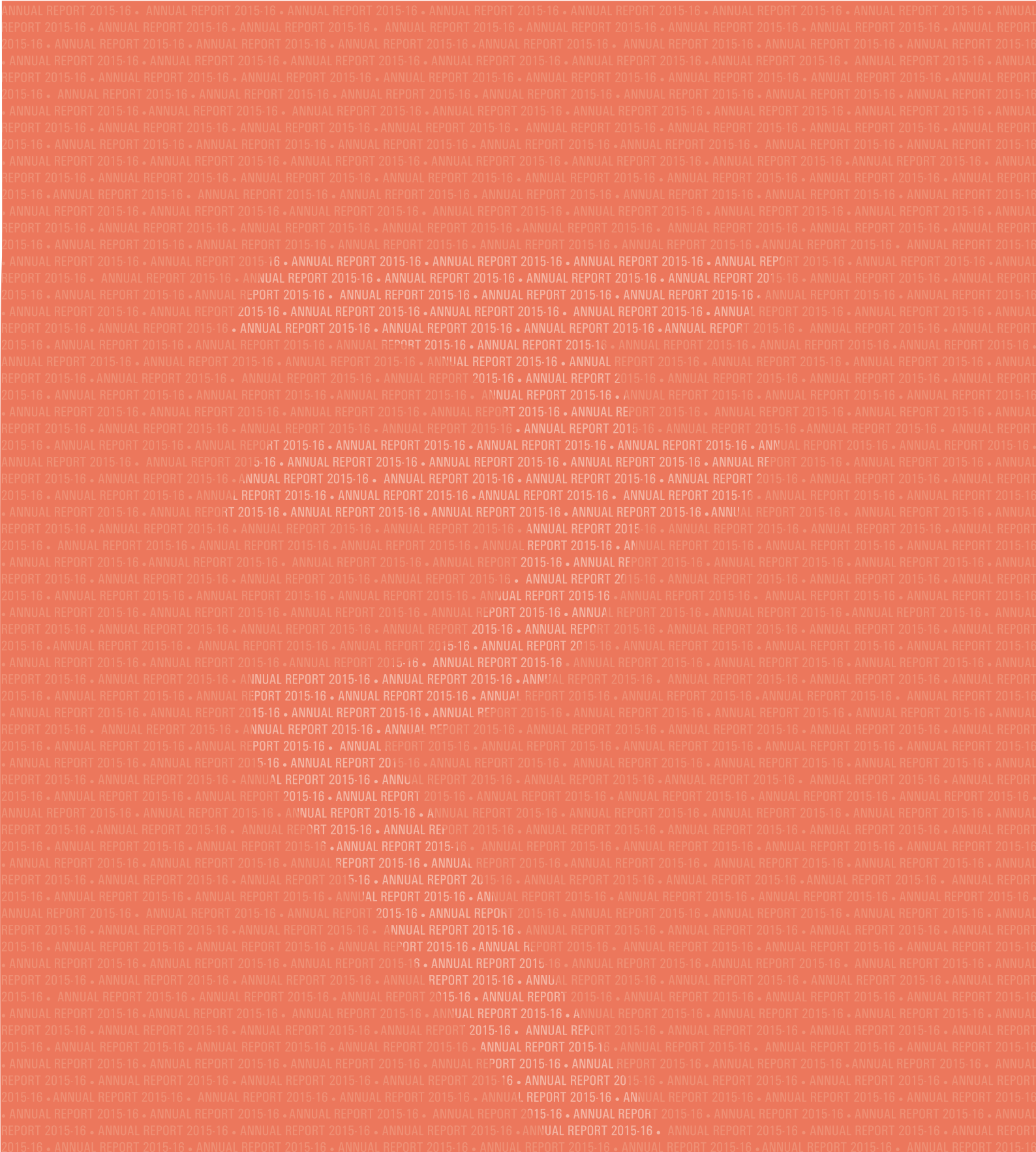
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Eco Power Systems

LEADER



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